

STATE OF FLORIDA
Office of the Auditor General



**OPERATIONAL PERFORMANCE AUDIT
OF THE**

FLORIDA DEPARTMENT OF HEALTH AND REHABILITATIVE SERVICES

**FOR THE PERIOD
JULY 1, 1986, THROUGH DECEMBER 31, 1987**

DATED: MARCH 1, 1989

STATE OF FLORIDA
OFFICE OF THE AUDITOR GENERAL

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STATE OF FLORIDA
OFFICE OF THE AUDITOR GENERAL
TALLAHASSEE

March 1, 1989

CHARLES L. LESTER, C. P. A.
AUDITOR GENERAL

The President of the Senate, the Speaker of the
House of Representatives, and the
Legislative Auditing Committee

In accordance with the provisions of Section 11.45,
Florida Statutes, and as part of the Legislature's oversight
responsibility for operations of State agencies, I have directed
that an operational performance audit be made of the Florida
Department of Health and Rehabilitative Services. The results of
the audit are presented in this report.

Respectfully submitted,

Charles L. Lester
Charles L. Lester
Auditor General

Audit supervised by:
T. Bert Fletcher

Audit made by:
Michael E. McCloskey

OPERATIONAL PERFORMANCE AUDIT
OF THE
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SCOPE AND OBJECTIVES

- (1) Compliance and operational performance audits are made by the Auditor General as part of the Legislature's oversight responsibility for operations of State agencies. Our audit, which was made in accordance with generally accepted governmental auditing standards, included examinations of various transactions during the period July 1, 1986, through December 31, 1987, to determine whether they were executed, both in manner and substance, in accordance with governing provisions of law and administrative rules. The proper administration of public funds requires the adoption and use of procedures that will promote the economic and efficient conduct of duties and responsibilities. Consequently, an evaluation of selected administrative and accounting controls was also included within the scope of this audit.
- (2) Our examination of State agencies is accomplished through a multiphase approach. As described in paragraphs 4 and 5, financial resources and controls over financial resources are examined in our audit of the general purpose financial statements of the State of Florida, and Federal resources received by State agencies (of which the Department received in excess of \$1.3 billion during the 1986-87 fiscal year) are examined in our Statewide audit of Federal assistance received by the State of Florida. Additionally, we perform compliance and operational performance audits of selected functions and programs of the various State agencies.
- (3) The activities of the Department of Health and Rehabilitative Services cover a broad range of functions and programs and involve thousands of employees located in offices throughout the State. Because of the nature and diversity of the Department's functions and programs, we examined selected management control systems at the following representative locations during this audit:

Management Control Systems

Locations

- | | |
|---|---|
| • Revenues and Cash Receipts | • Headquarters |
| • Supply Inventories | • District I
Escambia County Health Unit |
| • Procurement Practices | • District II
Florida State Hospital
Leon County Health Unit |
| • Tangible Personal Property | • District III
Sunland Gainesville
North Florida Evaluation and
Treatment Center |
| • Travel | • District IV
Marion County Health Unit |
| • Hiring Practices | • District V
Northeast Florida State Hospital
Duval County Health Unit |
| • Budgets | • District VI
Pinellas County Health Unit |
| • Management Reporting | • District VII
Florida Alcoholism and Treatment
Center |
| • Internal Audit Function | • District VIII
Hillsborough County Health Unit
Polk County Health Unit |
| • Optional State Supplementation
Program | • District IX
Brevard County Health Unit |
| | • District X
G. Pierce Wood Memorial Hospital
DeSoto County Health Unit |
| | • District XI
A. G. Holley State Hospital
Palm Beach County Health Unit |
| | • District XII
South Florida State Hospital
Broward County Health Unit |
| | • District XIII
Landmark Learning Center
Dade County Health Unit |

(4) Our audit did not extend to an examination of the Department's financial statements as of and for the fiscal year ended June 30, 1987. On February 12, 1988, this Office issued audit report No. 10985, with accompanying general purpose financial statements presenting the financial position of the State of Florida at June 30, 1987, the results of its operations, and the changes in financial position of its proprietary fund types and similar trust funds for the year then ended. The Department is an integral part of the reporting entity of the State of Florida. The financial information relative to the Department was included by the State Comptroller in the financial statements that accompany that report.

(5) Federal resources received by the Department under contract and grant agreements to finance specific programs and projects were audited in connection with our Statewide audit of

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Federal assistance received by the State of Florida for the fiscal year ended June 30, 1987. Findings concerning these resources were the subject of audit report No. 11068.

- (6) Findings relating to the administration of public health services by the Department are presented in a separate audit report (No. 11143) dated December 19, 1988.

SUMMARY OF FINDINGS

- (7) Our detailed findings are included in paragraphs 21 through 99 under the heading FINDINGS AND RECOMMENDATIONS. A summary of findings included in this report is presented below. Paragraphs referenced in the Summary of Findings and the Secretary's response thereto, exhibit D, should be read for a more comprehensive understanding of the findings and related recommendations.
- (8) Our examination indicated that, for the assets and control systems included within the scope of this audit, the Department had generally established management controls to provide reasonable assurance of the reliability of financial records and for safeguarding its assets. The results of our tests at selected locations generally indicated that the Department complied with various guidelines governing its operations. However, we did note conditions where the establishment of control procedures should be enhanced to eliminate the deficiencies noted.

Revenues and Cash Receipts

- Our review of selected locations within the Department at which moneys were received disclosed several weaknesses in the system of internal control (physical controls, authorization and recording of transactions, segregation of functions, independent internal verification, and untimely deposits of receipts into the State Treasury) that increase the possibility of undetected recording errors and/or the Department's revenues and receipts being used for unauthorized purposes. (See paragraphs 27 through 41.)

Optional State Supplementation Program

- No independent verification was performed to ensure that Optional State Supplementation Program benefit payments were made only to authorized clients. (See paragraphs 47 through 54.)

Procurement Practices

- Purchases of approximately \$32,000 in District VI were not made using competitive bidding procedures, contrary to law. (See paragraphs 56 through 60.)

- Department personnel generally processed vouchers in accordance with Section 215.422, Florida Statutes; however, we noted several instances where vouchers were not processed timely. (See paragraphs 61 through 64.)

Tangible Personal Property

- The Department has established adequate procedures for controls over tangible personal property and the established procedures were generally followed. However, some deficiencies were noted relating to the safeguarding and accountability of State-owned tangible personal property. (See paragraphs 69 through 71.)

Supply Inventories

- Internal controls over supply inventories at selected locations needed improvement due to inadequate records and lack of physical controls. (See paragraphs 73 and 74.)

Travel

- Travel Revolving Fund reconciling items in District IX totaling in excess of \$6,000 were not followed up on and resolved in a timely manner. (See paragraphs 75 through 77.)

Hiring Practices

- Adequate documentation evidencing security background checks, which are required by Section 110.1127, Florida Statutes, was not always maintained by Department personnel. (See paragraphs 78 through 85.)

Fee Assessments

- The Facilities Plans and Construction Section of the Office of Licensure and Certification assessed and collected fees in accordance with applicable laws; however, these fees were not always assessed and collected in a timely manner. (See paragraphs 86 through 89.)

Budgets

- The Department's procedures for controlling contractual activities within the limits of its obligational authority, as determined by the approved operating budget of the Department, need to be enhanced. (See paragraphs 90 and 91.)
- A building, costing \$82,162, was constructed at the Florida State Hospital without a specific legislative appropriation, contrary to Section 216.292(3)(b), Florida Statutes. (See paragraphs 92 through 95.)

Internal Audit Function

- The position designated as the chief internal auditor of the Department was not directly responsible to the Secretary, contrary to Section 20.055(2), Florida Statutes. (See paragraphs 96 through 99.)

BACKGROUND

- (9) The Florida Department of Health and Rehabilitative Services was created by Section 20.19, Florida Statutes, to provide social, rehabilitative, and health-related services to eligible clients in need of assistance. During the audit period, services were provided to clients through one or more of the following programs:
- Children's Medical Services - provides medical care services to children with physical conditions which may hinder their normal growth and development.
 - Economic Services - administers all income-support programs within the Department and receives and distributes food stamps and food commodities received from the Federal Government.
 - Developmental Services - prevents and reduces the severity of mental retardation and other developmental disabilities and provides treatment to clients with these disorders.
 - Aging and Adult Services - advises, assists, and protects the elderly and other adult clients who are unable to perform the normal tasks of daily living for themselves.
 - Children, Youth, and Families - includes adoption, child care, and foster care programs; specialized services to families; all programs related to delinquent children; related mental health services for children and youth in coordination with the Alcohol, Drug Abuse, and Mental Health Services Program Office; and referrals for delinquency and dependency juvenile programs.
 - Alcohol, Drug Abuse, and Mental Health - aids in the care, treatment, and rehabilitation of alcoholics; provides medical, psychological, and vocational rehabilitation services to drug dependents; and is intended to reduce the occurrence, severity, duration, and disabling effects of mental, behavioral, and emotional disorders.
 - Vocational Rehabilitation Services - promotes the vocational rehabilitation of physically disabled persons and thereby enables them to return to employment. Effective October 1, 1986, this Program was transferred to the Florida Department

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of Labor and Employment Security, pursuant to Chapter 86-220, Laws of Florida.

- (10) Services are delivered to clients in 11 districts established throughout the State. These 11 districts are geographically divided and located as shown on exhibit C. The Department also operates institutions for the custody and care of clients whose needs cannot be met through community-based treatment programs and operates an institution for the treatment of tuberculosis.
- (11) The head of the Department of Health and Rehabilitative Services is the Secretary who is appointed by the Governor subject to Senate confirmation and serves at the pleasure of the Governor. During the audit period, William J. Page served as Secretary to January 5, 1987. Gaylen N. Jungling served as Acting Secretary from January 6, 1987, to January 31, 1987. Gregory L. Coler served as Secretary from February 1, 1987.
- (12) The Secretary appoints a Deputy Secretary, a Deputy Secretary for Operations, the Assistant Secretaries, and the District Administrators to assist in carrying out the functions of the Department. Persons filling these positions serve at the pleasure of the Secretary.
- (13) The Deputy Secretary is directly responsible to the Secretary and performs those duties that are assigned to him by the Secretary. The Deputy Secretary is authorized to act on behalf of the Secretary, in his absence, in all matters affecting the Department.
- (14) The Deputy Secretary for Operations is the chief operations officer of the Department and is responsible for and has line authority over service program operations of the Department including management of institutions and residential treatment programs, assuring that such programs comply with Federal and State laws and regulations, and such other duties as are assigned to him by the Secretary.
- (15) The Assistant Secretary for Programs is responsible for the general Statewide supervision of the administration of service programs operated by the Department and such other program development and planning duties as are assigned to him by the Secretary.
- (16) The Assistant Secretary for Administration is responsible for supervising all of the budget management activities of the Department; serves as the chief budget officer of the Department; provides administrative and management support services above the District level; monitors administrative and management support services in the Districts; develops and implements uniform policies, procedures, and guidelines with respect to personnel administration, finance and accounting, budget, grants management and disbursement, procurement,

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information and communications systems, management evaluation and improvement, and general services including housekeeping, maintenance, and leasing of facilities; and performs such other administrative duties as assigned to him by the Secretary.

- (17) Each District Administrator has direct line authority over all Departmental programs assigned to the District. In addition to those responsibilities assigned by law, the District Administrator carries out those duties delegated to him by the Deputy Secretary for Operations.

- (18) As shown on the organizational chart, included as exhibit B, the Department employs personnel in the performance of its functions and duties throughout the State in 11 geographical Districts and in the Department's Headquarters. The employees are subject to the rules and regulations of the Department of Administration. The following schedule shows the number of positions authorized and filled as of June 30, 1987:

Budget Entity	At 6-30-87	
	Positions	Positions
	Authorized	Filled
	(1)	(1)
Office of the Secretary	168.50	155.50
Office of the Deputy Secretary for Operations	983.00	766.00
Office of the Assistant Secretary for Programs	1,875.75	1,754.50
Office of the Assistant Secretary for Administration	878.50	812.00
District Administration	2,428.75	2,353.75
Economic Services	6,828.85	6,487.69
Aging and Adult Services	693.75	675.25
Mental Health Services	115.50	106.50
Mental Health Institutions	7,013.50	6,743.15
Children, Youth, and Families	5,502.50	5,242.61
A. G. Dozier School	284.00	251.00
Developmental Services	524.50	476.30
Developmental Services Institutions	4,246.00	4,070.83
Health Services	7,480.96	6,517.35
A. G. Holley Hospital	231.50	202.70
Children's Medical Services	429.00	421.50
Medicaid Services	543.00	522.00
Total	<u>40,227.56</u>	<u>37,558.63</u>

Note: (1) Number of full-time equivalent positions as provided by the Department.

- (19) Revenues received by the Department included those received from State General Revenue appropriations; grants from various Federal, State, and local agencies; and fees collected for

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services performed as authorized by State law. A breakdown of these revenues by type for the 1986-87 fiscal year is shown on exhibit A of this report.

- (20) The Department's purchasing is regulated by Chapter 287, Florida Statutes, and Department of General Services Rule 13A, Florida Administrative Code.

FINDINGS AND RECOMMENDATIONS

Legal Compliance

- (21) We have examined the Department's compliance with applicable laws and rules for those operations within the scope of this audit. As a part of our audit, we performed such tests and other auditing procedures as we considered necessary. Except as noted under the subheading Management Controls, our examination indicated that the Department had generally complied with the various guidelines governing those operations. Except as described in paragraphs 65 and 66, nothing came to our attention during our examination that caused us to believe that untested items were not substantially in compliance with applicable laws and rules.

Management Controls

- (22) The proper administration of public funds requires adoption and use of procedures by the Department that will promote the economical and efficient conduct of assigned duties and responsibilities. Management is responsible for establishing and maintaining the management controls necessary for achieving the objectives of the organization. These management controls should also provide reasonable assurance of the reliability of financial records and provide for the safeguarding of assets. We have examined the Department's management systems intended to control those operations within the scope of this audit as discussed in paragraph 3. Except as noted in the following paragraphs, nothing came to our attention to indicate that those systems reviewed were inadequate.

Revenues and Cash Receipts

- (23) An adequate system of internal control over the cash receipts function must be established to promote the safeguarding of assets and the accuracy of accounting records. Physical controls over assets and accounting records are an essential feature of an effective system of internal accounting control. Physical controls are necessary to safeguard certain assets and prevent unauthorized access or use. Such a system should include consideration of documentation and authorization procedures, segregation of duties among employees, and independent internal verification procedures.

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(24) Documentation procedures used to achieve such controls include restrictive endorsement of checks immediately upon receipt and the preparation of records evidencing the collection of moneys immediately upon receipt, for example, through the issuance of prenumbered receipts or through the use of a receipt log (prelist). Restrictive endorsement at the point of receipt limits the negotiability of checks should they be lost or diverted, while recording moneys at the point of collection by use of prenumbered receipts or logs facilitates accountability over receipts. Authorization procedures ensure that transactions are authorized by management personnel acting within the scope of their authority, with the record of such authorization (documentation) serving to establish accountability for actions taken. Additionally, an adequate system of internal control should: (1) direct that moneys be remitted to an area other than the area that initiated the billing process; (2) safeguard the moneys until they are properly deposited; and (3) provide for a reconciliation between the amounts received and deposited to ensure that all moneys were deposited intact.

(25) In order for the controls noted above to function properly, there must be an adequate segregation of duties in those areas responsible for cash receipts activities. Certain duties should be divided among employees and organizational areas so that no one employee will be in a position to complete a transaction which has not been reviewed, approved, or recorded by other employees or units. For example, the individual who has access to cash receipts generally should not have access to the accounting records or reconcile the account unless there are compensating controls. A proper segregation of duties in an organization, accompanied by proper documentation procedures, provides an environment for the prompt detection of errors and/or irregularities which assists in safeguarding assets and ensuring the accuracy of records.

(26) Independent internal verification determines whether other elements in the system are working as intended and includes control features such as monitoring, recalculations, and comparison of recorded accountability with assets and other records. For this control element to be effective, it must not be performed by the employee responsible for the information or assets.

(27) Our review of selected locations within the Department at which moneys were received disclosed several weaknesses in the system of internal control (physical controls, authorization and recording of transactions, segregation of functions, independent internal verification, and untimely deposits of receipts into the State Treasury) that increase the possibility of undetected recording errors and/or the Department's revenues and receipts being used for unauthorized purposes. Internal control weaknesses noted in our review of the revenues and cash receipts procedures at the Office of Licensure and Certification, 12 of 67 County

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Health Units, and 23 other locations throughout the Department are disclosed in the following paragraphs.

(28) Office of Licensure and Certification. The Office of Licensure and Certification (OLC), organizationally part of the Department's Office of the Assistant Secretary for Programs, is responsible for the licensing and certification of all health care facilities within the jurisdiction of the Department. The OLC also is assigned, by statute, the authority to review and approve plans for the renovation and modification of hospitals, nursing homes, ambulatory surgical centers, and hospices and plans for proposed new facilities and new construction of the same. During the audit period, the OLC also was charged with the responsibility for the inspection of public swimming pools and bathing places. Effective October 26, 1987, this responsibility was transferred to the Department's Office of Environmental Health.

(29) During the audit period, fees were collected from applicants and regulated entities for the issuance of licenses and permits and for plan reviews. Fees collected by the OLC during the 1986-87 fiscal year totaled \$5,668,000. These fees were collected within eight organizational sections within the OLC. Our review indicated that procedures, for the areas evaluated, relating to collections received by the OLC were deficient as follows:

Physical Controls

- Checks received in the mail in the Facilities Plans and Construction Section were not restrictively endorsed immediately upon receipt. The checks were processed by the mail opener and another employee prior to being transferred to and restrictively endorsed by a third employee, thereby increasing the risk of unauthorized negotiation of these instruments should they be lost or diverted.

Authorization and Recording of Transactions

- Checks received in the mail in the Licensure and the Facilities Plans and Construction Sections were not controlled immediately upon receipt through the use of a receipt log or prenumbered receipts. In the Licensure Section, the checks were opened by one employee and then transferred to other employees for recording on mail receipt logs. In the Facilities Plans and Construction Section, the checks were opened by one employee and transferred through another employee to a third employee for recording on a receipt log. The recording of checks received in the mail on a receipt log facilitates control over collections by providing a measure for the verification of subsequent deposits and a means for evidencing the subsequent transfer of responsibility for collections to other employees.

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- Transfers of collections between employees were not documented within the Licensure and the Facilities Plans and Construction Sections, thereby limiting the ability to affix responsibility in the event of a loss.

Segregation of Functions

- In the Licensure and the Laboratory Facilities Licensure Sections, the same employees who received and/or processed fee collections also had access to and/or prepared licenses for issuance. Under such conditions, errors or irregularities could occur without timely detection.
- Within the Facilities Plans and Construction Section, the same employee collected and receipted fees, maintained a ledger of project costs and fees collected, prepared requests for additional fees, and reconciled the fees received to the Monthly Fee Collection Statement provided by the Department's Office of Regulation and Health Facilities. Under such conditions, errors or irregularities could occur without timely detection.
- Validated deposit slips were returned to the employee who prepared the deposit for all OLC collections. Validated deposit slips should be returned to an employee independent of the collection and deposit process and used by that employee to verify that all collections, recorded as received on original receipt documentation, were deposited.

Independent Internal Verification

- As described in paragraph 26, a critical element of internal control is internal verification by a person independent of the information or assets verified. Although our tests did not disclose any discrepancies, we noted procedures were not employed to assure that DHRS personnel properly accounted for and deposited all collections/fees.
 - Total licenses issued were not reconciled to total fees collected and/or applications received by employees independent of the collection/deposit process in the Licensure, Laboratory Facilities Licensure (for new licenses), and the Laboratory Personnel Licensure (for temporary licenses) Sections. Such reconciliations are necessary to provide increased assurances that moneys are collected for all licenses issued.
 - No periodic accounting of prenumbered receipt forms and/or licenses issued and on hand by employees independent of the collection/license issuance processes was performed in the Licensure, Laboratory Facilities Licensure, Facilities Plans and Construction, and Laboratory Personnel Licensure Sections. Such reconciliations, when performed by employees independent

of fee processing and license preparation/issuance provide increased assurances that fees and applications are received for all licenses issued and that collections are properly deposited and recorded in the accounting records.

Deposits Into the State Treasury

- Section 116.01(1), Florida Statutes, provides, in part, that every State officer authorized to collect funds due the State shall pay all sums officially received by the officer into the State Treasury not later than seven working days from the close of the week in which the officer received the funds. Our review of the Department's Office of Licensure and Certification (OLC) disclosed that 4 of 58 randomly selected receipts (approximately 7 percent) tested were not deposited in accordance with Section 116.01(1), Florida Statutes. During other testing at the OLC, we noted an additional 7 of 30 judgmentally selected receipts (approximately 23 percent) were not deposited in accordance with the above-noted law. An additional 26 instances of noncompliance were noted during our review of documentation (mail logs) applicable to the initial 11 instances of noncompliance. These 37 receipts, which were deposited from 1 to 23 working days late, totaled \$56,894.32. Total deposits made during the 1986-87 fiscal year by the Licensure Section were approximately \$2,212,000. The untimely deposits generally resulted from funds being held an excessive amount of time (6 to 26 working days) by employees in the Licensure Section before being transferred to an employee in the Administrative Services Section of the Deputy Assistant Secretary for Regulation and Health Facilities who made the deposits. The untimely deposit of collections increases the risk of loss or misappropriation and reduces the interest that would be earned had the moneys been deposited in a more timely manner.
- Section 18.101, Florida Statutes, requires that moneys deposited into clearing funds should be transmitted to the State Treasurer at least within 40 days of the date of deposit or the period approved by the State Treasurer, whichever is shorter. Department of Insurance Rule 4C-1, Florida Administrative Code, requires moneys deposited into clearing funds with annual activity of \$1,460,000 or more to be forwarded to the State Treasurer on a daily basis. The Department established written procedures (HRS 11 APM 1) that require compliance with this law and administrative regulation. The Department established the Licenses and Fees Clearing Account (Special Account-2) for the deposit of collections received by various Departmental units (including the OLC) from the issuance/assessment of permits, licenses, and fines. Our examination of the 25 deposits made into the Licenses and Fees Clearing Account from July 1, 1987, to December 31, 1987, disclosed that deposits totaling \$2,757,528 were not cleared to the State Treasurer within the

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required time frame. The amount of these 25 deposits ranged from \$5,174 to \$319,583. The length of time that these deposits were held prior to transmittal to the State Treasurer ranged from 6 to 45 days after the date deposited into the clearing fund.

(30) Department personnel indicated that the failure of staff within the Department's Office of Regulation and Health Facilities to timely notify the Department's Office of Financial Support Services that the moneys had been deposited resulted in the noncompliance with Section 18.101, Florida Statutes, and related rules and regulations. Moneys not remitted to the State Treasurer in a timely manner prevent the State from maximizing interest earned on its funds. Furthermore, the untimely remission of these funds could delay the State Treasurer's use of these funds for expenditures.

(31) The combination of the individual deficiencies described above weakens internal control and increases the risk of undetected errors and irregularities. We recommend that the Department implement corrective actions within the OLC that provide for the following:

- Immediate restrictive endorsement of checks received in the mail.
- Immediate control of checks received in the mail through the use of a receipt log or prenumbered receipts.
- Documentation evidencing the transfer of collections between employees.
- Segregation of the functions of asset custody (collection), license issuance, record keeping and billing, and reconciliation.
- Reconciliations of collections to amounts subsequently deposited and to applications received and licenses issued. Reconciliations and accountings for all prenumbered receipt forms and licenses should be performed by employees who are independent of the collection, deposit, and license issuance processes.
- A centralized cashier function within the OLC. All receipts should be initially received and recorded by the centralized cashier. All applications, remittance advices, and other attachments accompanying the fees should be detached from the fees and forwarded by the cashier to the appropriate OLC Section for processing.
- Prompt deposit of all receipts into the State Treasury and prompt transmittal to the State Treasurer of moneys deposited into clearing funds.

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- (32) County Health Units. Chapter 154, Part I, Florida Statutes, provides that the Department shall enter into contracts with the counties of the State to promote, protect, maintain, and improve the health and safety of all citizens and visitors of the State through a system of coordinated public health unit services. The public health services are provided by the State's 67 county health units (CHU's) and are categorized into three levels: (1) public health services - provided to the healthy public as client and organized/operated to protect the health of the general public; (2) personal health services - provided to the individual well person as client and organized/operated to provide maintenance of health and the prevention of noncommunicable disease in the individual; and (3) primary care services - provision of medical care to individual injured or ill persons.
- (33) Pursuant to Section 154.06, Florida Statutes, fees are assessed and collected for services in accordance with fee schedules approved by resolution of the county commissioners or by rule established by the Department. Fees collected by CHU's are deposited with the State Treasurer and credited to the Public Health Unit Trust Fund. These funds can only be expended for the purpose of providing health services and facilities within the county served by the county health unit that deposited the funds. Fees collected by the State's 67 CHU's during the 1986-87 fiscal year totaled \$28,695,066.
- (34) To accomplish our audit objectives relating to CHU revenues, we selected and conducted an on-site review at one CHU within each of the Department's 11 geographical districts. In addition, as part of our review of cash and cash controls, we conducted limited audit tests applicable to revenues at the Polk CHU. The following CHU's were reviewed: Escambia, Leon, Marion, Duval, Pinellas, Hillsborough, Brevard, DeSoto, Palm Beach, Broward, Dade, and Polk.
- (35) Our study and evaluation of the management control systems at the CHU's noted above disclosed conditions that result in more than a relatively low risk that errors or irregularities in amounts that would be material to CHU fees may occur and not be detected in a timely manner as follows:

Physical Controls

- Checks were not restrictively endorsed immediately upon receipt at the Pinellas, Polk, Hillsborough, and Dade CHU's. Restrictively endorsing checks immediately upon receipt reduces the risk of the unauthorized negotiation of these instruments should they be lost or diverted.
- Collections of fees for personal health and primary care services provided at the Brevard CHU were not always adequately safeguarded. We observed at the Rockledge Office that, contrary to CHU policy, the cash drawer in which collections were placed was not locked when unattended and

was located in an area that was accessible to CHU employees not authorized to receive collections.

- At the Escambia CHU, more than one employee had access to and used the same cash drawers. The commingling of collections makes it difficult, if not impossible, to determine responsibility in the event of a loss.

Authorization and Recording of Transactions

- Transfers of collections among employees were not always documented at the Escambia, Duval, Pinellas, DeSoto, Brevard, and Broward CHU's. To fix responsibility for the custody and control of collections, receipts should be prepared to document the transfer of collections among employees.
- A listing of collections received in the mail was not prepared by the employee opening the mail at the Polk CHU. Such listings facilitate evidencing the subsequent transfer of responsibility for collections to other employees for further processing and provide a basis for verification of subsequent deposits.
- Employees at the Leon CHU, at times, administered immunizations at various sites other than the CHU and received donations for those immunizations from the public. However, the Leon CHU did not require these employees to attest to the amount of donations received or document that all donations were remitted to the Leon CHU cashier. Such documented attestations would provide means of verifying that all funds received were properly accounted for and deposited.
- Although CHU's will not deny services to clients who are unable to pay the fees, all fee waivers should be documented as evidence that fees were not subsequently misappropriated. Management personnel were unable to provide our staff with documented authorizations for the waiver of fees and/or evidence of fees collected in the following instances: (1) Dade CHU - 1 of 14 primary care and personal health services and 4 of 30 public health services selected for testing; (2) Brevard CHU - 4 of 30 personal health and primary care services selected for testing; (3) Hillsborough CHU - 6 of 30 personal health services selected for testing.
- Copies of receipts issued for fees collected at the Escambia CHU were in some instances changed or altered without adequate explanation. Originals of voided receipts were not always maintained at the Escambia CHU. Without adequate documentation/explanations for alterations to receipts and/or voided receipts, it is not possible to verify that all fees initially collected were properly accounted for and deposited or otherwise disposed of in an appropriate manner.

- Our tests of deposits at the Escambia CHU disclosed that collections were not always deposited intact. Specifically, in our test of 59 deposits, we noted 43 receipts totaling \$918 that were included in the documentation supporting the deposits but were not included on the deposit slips. Our additional testing of these deposits disclosed no unauthorized diversions of collections. However, this testing revealed instances whereby the party receiving the service (septic tank permits, for example) was included on the receipt but the party paying for the service (contractor installing the septic tank) was included on the deposit slip. In other instances, receipts were written for individuals who subsequently either did not pay for the services or who were returned the moneys for valid reasons. However, instead of properly voiding those receipts, the CHU staff substituted other collections for which receipts were not written. The failure to identify the receipt to the check or other negotiable instrument received for the service and the substitution of collections would make it difficult, if not impossible, to detect unauthorized diversions of collections.
- At the DeSoto CHU, we noted that the fee schedule used for primary care services for the period October 1986 through the end of the audit period (December 31, 1987) had not been approved by resolution of the DeSoto County Board of County Commissioners or by rule of the Department, contrary to Section 154.06, Florida Statutes. That law provides that CHU's may collect fees for personal health and primary care services as long as such fees have been established by resolution of the Board of County Commissioners or by rule of the Department. The DeSoto CHU charged the same fees that were previously charged by a private organization which provided primary care services in DeSoto County prior to October 1986.
- At the Leon and Pinellas CHU's, we noted instances in which fees assessed to clients receiving services were different from the fees according to the authorized fee schedules. For example, fees for dental services provided by the Leon CHU were sometimes reduced based on the clients' income; however, authority for the fee adjustments was not provided in the Leon CHU's authorized fee schedule.
- At the Marion and Duval CHU's, we noted five instances as of March 1988 in which Medicaid/Medicare had not been billed for services rendered from March through November 1987 to eligible Medicaid/Medicare clients. For these services, the CHU's had not been reimbursed for the amounts to which they were entitled. In addition, because of record keeping deficiencies at the Pinellas CHU, we could not determine whether Medicaid had been billed and/or payments subsequently received for services rendered to the four Medicaid eligible clients included in our tests.

Segregation of Functions

- At the DeSoto CHU, the same employee who received collections for primary care services also posted collections to client records and sent clients statements of amounts due. In addition, at the DeSoto CHU, an employee in the Environmental Health Section who maintained permit records and notified recipients when permits were due for renewal, also handled collections and had access to unissued permit forms.
- At the Hillsborough CHU, the same employee authorized fee waivers, reductions, and deferrals; maintained client receivable records; and collected deferred fees that were mailed in by clients. Employees in the Business Office at the Hillsborough CHU who had access to collections also reconciled the bank statements and/or recorded collections in the accounting records.
- From June 1985 to June 1987, a Hillsborough CHU employee performed the incompatible duties of collecting fees, issuing receipts, and providing health services for the Acquired Immune Deficiency Syndrome (AIDS) Program. In July 1987, CHU personnel became aware that some fees collected were not being deposited when a client indicated to another CHU employee that his/her fee had been paid when CHU records indicated no fee had been paid. According to CHU personnel, the employee involved eventually resigned and admitted to falsifying the records. From June 1985 to June 1987, approximately 1,654 clients received services provided by this Program. The maximum total fees that could have been collected for these services was \$33,080 (\$20 per client). The actual fees collected during this period totaled \$11,427. The difference (\$21,653) that could be attributed to the alleged theft could not be determined as the Department's policy was to not deny the service if the client was unable to pay for the service. However, subsequent to June 1987, the average collection per service provided increased from \$6.91 to \$13.02. The Department has subsequently implemented corrective measures that segregate the incompatible functions formerly performed by the one employee.

This matter was reported by staff of the Hillsborough CHU to the Tampa Police Department. A report on the incident was completed by the Tampa Police Department on July 29, 1987. Because of the anonymity of the clients in the Program, as described in Department of Health and Rehabilitative Services Rule 10D-93.064, Florida Administrative Code, Department staff did not refer the case to the State Attorney's Office for prosecution. However, we recommend that this matter be referred to the State Attorney for a determination of the appropriate actions by that Office pursuant to Section 27.02, Florida Statutes.

- At the Duval CHU, certain employees in the Environmental Health Office and the Sanitary Engineering Office had access to and issued permits, prepared monthly invoices for permit renewals, posted payments to the accounting records, and had access to collections. In the Vital Statistics Office, the employees who received collections also had access to and issued birth and death certificates. In the Fiscal Office, employees performed or had the capability to perform the incompatible functions of handling collections and preparing information for input into the accounting records.
- At the Escambia CHU, employees who maintained the accounts receivable records also received payments on the accounts. One employee performed the incompatible duties of receiving collections and preparing the deposits, receiving the validated bank deposit slip back from the bank, reconciling the bank account, and posting collections to the accounting records.

Independent Internal Verification

- Employees independent of the fee collection/deposit process did not reconcile listings of collections received in the mail to the validated deposit slips in the Escambia, Leon, Hillsborough, Brevard, and Broward CHU's. Listings of collections received in the mail, when compared to the validated deposit slips by an employee independent of the collection/deposit process, provide verification that collections received are actually deposited. In addition, we noted that the validated deposit slips were not returned directly to an employee other than the cashier or depositor at the Escambia, Leon, Brevard, and DeSoto CHU's.
- Although our tests of services rendered, permits and licenses issued, and related fees collected disclosed no exceptions, we noted procedural deficiencies relating to the lack of proper accounting for licenses/permits, applications, and receipt forms as described below:
 - CHU employees, not participating in the fee collection/license issuance processes, did not periodically verify that fees and applications were received for all licenses/permits issued at the Pinellas, Hillsborough, and DeSoto CHU's. Periodic comparisons of fees collected and receipted with licenses/permits issued and applications received, by employees not participating in the fee collection/license issuance processes, would provide assurances that fees were received for all licenses/permits issued and/or applications received.
 - CHU employees, who did not have access to or custody of collections, did not verify that all prenumbered receipt forms and/or cash register transaction numbers were

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properly accounted for at the Leon, Duval, Hillsborough, Brevard, Palm Beach, Broward, and Dade CHU's. An accounting of all receipt forms received, issued, and on hand provides a means of verifying that all recorded collections are properly deposited and recorded in the accounting records.

- At the Hillsborough and DeSoto CHU's, there was no periodic accounting of all license/permit forms received, issued, and on hand by employees independent of the license/permit issuance process. In addition, at the DeSoto CHU, health and migrant labor camp permits were not prenumbered. The prenumbering and periodic accounting of all license/permit forms would provide assurance that these forms are used only for authorized purposes and the related fees are accounted for and properly deposited.
- During the period July 1, 1987, through December 21, 1987, internal control deficiencies at the Dade CHU contributed to concealment of a shortage of \$2,920, as estimated by the CHU Business Manager. The shortage was not promptly detected because collections evidenced by prenumbered receipts were not independently reconciled in a timely manner to fees deposited. The shortage was detected when management personnel at Dade CHU became concerned that collections for food export certificates and doctor's certificates were below what was expected. The shortage is currently being investigated by the Department's Inspector General's Office. The results of the investigation and subsequent follow-up by us will be addressed, as appropriate, in subsequent audits of the Department.

Deposits Into the State Treasury

- Section 116.01(1), Florida Statutes, provides, in part, that every State officer authorized to collect funds due the State shall pay all sums officially received by the officer into the State Treasury not later than 7 working days from the close of the week in which the officer received the funds. We noted at the Dade CHU that 12 of 60 receipts tested (approximately 20 percent) were not deposited in a timely manner. These receipts, totaling \$1,745, were not deposited for periods ranging from 1 to 11 working days after the date of deposit required by Section 116.01(1), Florida Statutes. Total revenues received by the Dade CHU during the audit period were approximately \$3,900,000. The untimely deposit of collections increases the risk of loss or misappropriation and reduces the interest that would be earned for the CHU had the moneys been deposited in a more timely manner.

(36) We recommend that the Department implement corrective actions within the CHU's that provide for the following:

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- Endorsement of all checks immediately upon receipt by CHU personnel, maintenance of collections in secure areas to which only authorized CHU personnel have access, and the assignment of separate cash drawers to individual employees responsible for collecting fees.
- Immediate control of collections received in the mail through the use of a receipt log or mail listing.
- Documentation evidencing the transfer of collections between employees.
- Documentation attesting to donations received at outlying areas by the employees who initially received the donations.
- Documentation evidencing management's authorization of fee waivers.
- Documentation and adequate explanation to support all voided and altered receipt forms. In addition, when receipt forms are voided, all copies and the original receipt form should be maintained on file as evidence of the proper disposition of all receipts.
- Intact deposit of collections and documentation that identifies receipts to items (checks, money orders, etc.) included on the related deposits slips. In addition, prenumbered receipts should be written for all collections received.
- The voiding of prenumbered receipts when the collections evidenced by the receipts are returned to the individuals prior to services being rendered and moneys deposited.
- Documentation to ensure that CHU's fee schedules are established as required by law, that fees are assessed in accordance with established fee schedules, and that Medicaid/Medicare is promptly billed for eligible services provided.
- Segregation of the functions of asset custody (collection), license/permit access and issuance, record keeping and billing, and authorization among different employees.
- Reconciliations of collections to amounts subsequently deposited, to licenses/permits issued and applications received, and to issued receipt forms. Also, reconciliations and accounting for all prenumbered receipt forms and license/permit forms. These reconciliations should be performed by employees who are independent of the collection, deposit, and license/permit issuance processes.
- Prompt deposit of all receipts into the State Treasury.

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(37) In response to our finding of inadequate accounting for prenumbered receipt forms at the Brevard CHU, as noted in paragraph 35, the Secretary of the Department indicated that control for unissued receipts at the central control location was assigned to one employee. The Secretary further indicated that issuances of receipts prepared by the cashiers at nine different locations were subsequently verified by employees independent of the receipt process. Notwithstanding this verification of receipt forms which have been issued by the cashiers at the nine locations, the Secretary's response does not address the summary accounting for all receipt forms received, issued, and on hand. To provide assurance that all receipt forms are used for authorized purposes and the related collections deposited, we again recommend that the Brevard CHU account for all prenumbered receipt forms received, issued, and on hand.

(38) Other Locations. We also performed examinations and reviews of cash collections and disbursements and related management controls at an additional 23 Department locations. The purpose of our examinations and reviews was to determine compliance with governing laws, rules, and regulations and to evaluate the adequacy of established management controls to determine the extent to which the controls can be relied upon to identify deficiencies that would have a material impact on Department cash collections and disbursements. Our study and evaluation disclosed that generally, for the locations selected, management controls were adequate and the Department was in compliance with governing laws, rules, and regulations. However, the internal control deficiencies as described below were noted:

Physical Controls

- Checks were not always restrictively endorsed immediately upon receipt at the Office of Radiation Control at Department Headquarters in Tallahassee, the Landmark Learning Center, and the District XI Fiscal Office. The restrictive endorsement of checks immediately upon receipt reduces the risk of unauthorized negotiation of these instruments should they be lost or stolen.
- At the Landmark Learning Center, Welfare Trust Fund collections were kept overnight in a vault in the Center's cafeteria. All ten cafeteria employees had access to the vault and room in which the vault was located. Other Welfare Trust Fund moneys were at times kept in an unlocked file cabinet in a vault in the Accounting Office. The vault door was left open during working hours and, consequently, anyone having access to the Accounting Office also had access to those moneys. Although our tests disclosed no misappropriation of funds, in these situations moneys could be diverted for unauthorized use without detection in a timely manner.

- Access to the District XI Revolving Fund was not adequately restricted. Six employees had access to the vault in which both the unissued revolving fund checks and facsimile signature machine used to sign checks were kept. It would be difficult in the event of diversion of Revolving Fund moneys to fix responsibility under these circumstances.

Authorization and Recording of Transactions

- Detailed listings of collections received in the mail at the Office of Emergency Medical Services at Department Headquarters in Tallahassee were not prepared by employees opening the mail. Failure to promptly prepare listings or other documentation indicating both the number and amount of checks received limits the assurance that all collections are properly accounted for and subsequently deposited.
- Transfers of collections among employees were not always documented at the District XI Fiscal Office. To fix responsibility for the custody and control of collections, receipts should be prepared to document the transfer of collections among employees.

Segregation of Functions

- At the Florida Alcoholism and Treatment Center, the same employee who received maintenance fee collections also determined the amount of and mailed billing statements, maintained the accounts receivable records, prepared documents for entry of transactions into the Department's Fee Collections System, reconciled collection reports to the State Automated Management Accounting Subsystem, and prepared documents to write off accounts. An employee performing these incompatible duties is in a position where errors and/or irregularities could be made without detection in a timely manner.

Independent Internal Verification

- Employees independent of the collection and deposit function did not reconcile listings of collections received in the mail to records evidencing deposits such as the validated deposit slips. This deficiency was noted at the Landmark Learning Center (Welfare Trust Fund), District II Fiscal Office, District XI Fiscal Office, and Office of Radiation Control at Department Headquarters in Tallahassee. Such reconciliations provide verification that collections are properly deposited or otherwise disposed of in the appropriate manner.
- Our audit tests of the District XI Revolving Fund disclosed that as of December 12, 1988, \$6,249.23 of the authorized fund amount of \$130,000 could not be accounted for by Department personnel. In addition, we noted, as of this same

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date, significant outstanding reconciling items that had not been resolved by District personnel in a timely manner. For example, we noted disbursements totaling \$59,602.12 that were made during the period November 1986 through September 1988 and bank service charges in the amount of \$155.56 for the period May 1988 through September 1988 for which no requests had been submitted to the State Comptroller for reimbursement. We also noted reconciling items totaling \$3,694.99, relating to the period April 1987 through September 1988, representing amounts received by the District from the State Comptroller that should have subsequently been reimbursed to the State Comptroller. As of December 12, 1988, these amounts had not been reimbursed. Similarly, interest earned on deposited funds during the period September 1987 through September 1988 in the amount of \$779.11 had not been submitted to the State Comptroller. These reconciling deficiencies and the lack of the timely detection and determination of unaccounted for funds can be attributed to the Department's failure to reconcile the Revolving Fund balance to the authorized Revolving Fund amount on a periodic basis and lack of adequate supervisory review of the reconciliation process. The Department also attributed the condition to there having been 3 different Revolving Fund custodians during a 4-month period.

(39) We recommend that the Department implement corrective actions that provide for the following:

- Detailed recording of collections immediately upon receipt at the Office of Emergency Medical Services at Department Headquarters in Tallahassee.
- Documentation evidencing the transfers of collections between employees at the District XI Fiscal Office.
- Restrictive endorsement immediately upon receipt of all checks; Welfare Trust Fund moneys at the Landmark Learning Center be maintained in secure areas with access limited to authorized employees; and the unissued Revolving Fund checks and the facsimile signature machine in District XI be maintained under the custody of separate employees.
- Employees who receive or have access to maintenance fee collections not also maintain or reconcile records relating to these collections, prepare billings, or prepare documents to write off accounts.
- Reconciliations by employees independent of the collection/deposit process of original receipt documentation to evidence of deposits; including periodic reconciliations of the detail of the deposits to the supporting documentation.

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- Reconciliations of revolving funds to the authorized fund amounts by an employee not having custody of or access to those funds; including supervisory reviews of those reconciliations. In addition, these reconciliations should be performed each time there is a change of custodian so that responsibility can be determined in the event of a loss.
- Referral to the State Attorney's Office of the matter involving the unaccounted for District XI Revolving Funds for a determination of the appropriate actions by that Office.

(40) Summary. Similar weaknesses to the ones described in paragraphs 27 through 39 above were disclosed in audit report No. 10268, paragraphs 227 through 253, and audit report No. 10572, paragraphs 202 through 209. In these audit reports, we reported weaknesses in the internal accounting control systems utilized by 30 CHU's selected for testing. The reported deficiencies related to lack of management authorization for transactions, inadequate segregation of duties, transactions not recorded properly, assets not properly safeguarded, and lack of proper comparison of recorded accountability with assets.

(41) In audit report No. 10572, paragraphs 202 through 204, and audit report No. 10268, paragraphs 246 through 252, we disclosed misappropriations of funds that were not promptly detected due to the reported internal control deficiencies. Two incidents resulted in the criminal prosecution of an employee of the Pasco CHU and an employee of the Hillsborough CHU. As similar weaknesses were noted at the Office of Licensure and Certification, 12 CHU's, and other locations within the scope of this audit, and as some of these weaknesses again precluded the prompt detection of misappropriations of funds as indicated in paragraph 35, relating to the Hillsborough and Dade CHU's, we again recommend that Department management review its management control systems established to safeguard revenues and cash receipts. Enhancements should be made to those systems as necessary to correct the deficiencies noted. In addition, where appropriate systems have been established, management should emphasize to Department personnel the importance of compliance with those prescribed procedures.

Optional State Supplementation Program

(42) The Department established an Optional State Supplementation (OSS) Program as provided by Section 409.212, Florida Statutes. The purpose of the Program is to provide a supplemental income source to pay for community-based alternative living arrangements to prevent placement into, or to remove an individual from, an institution or nursing home. OSS assistance is provided in the form of a direct cash assistance payment to eligible individuals or their designated representatives. It is intended solely to supplement the individual's other income sources to aid in providing for the recipient's room, board, and/or basic personal needs. The OSS payment is not intended to

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meet the individual's total needs or the total cost of the alternate living arrangements. OSS payments are funded entirely by State General Revenue Funds of which more than \$11 million was expended during the 1986-87 fiscal year.

- (43) The determination of client eligibility is conducted in two stages, one by the Department's Aging and Adult Services staff and the other by the Department's public assistance specialists located at Department Service Centers throughout the State. Staff of the Aging and Adult Services (AAS) Office is responsible for determining whether the individuals are eligible for participation in the Alternate Placement Program (APP). Upon determination of eligibility for the APP, the AAS staff complete a Community Care Certification for Optional State Supplementation (HRS Form 1006) form. Upon completion, these forms are provided to the public assistance specialists who are organizationally part of the Department's Economic Services Program Office. These employees are charged with determining eligibility of the clients based on financial and technical eligibility criteria. As part of this process, the public assistance specialists are required to substantiate and document this information in case records. The public assistance specialists are also required to conduct face-to-face interviews with the applicants and designated representatives/legal guardians. The public assistance specialists are charged with making objective and equitable decisions regarding the applicants' eligibility or ineligibility for OSS benefits, relying on knowledge of approved policy.
- (44) Upon the determination of eligibility or ineligibility, public assistance specialists complete a standardized form (HRS Form 2012) for those clients determined to be eligible. These documents are submitted to the Department's Data Center in Jacksonville for entry into the Mandatory-Optional Supplementation Record System (MORS). Subsequent to the entering of pertinent information into the MORS, OSS benefit payments are initiated by means of the payroll-by-exception method. A monthly payment is automatically generated for each client in the MORS until a subsequent change, called an exception, is entered to revise the client information, resulting in an adjustment to or a deletion of the monthly payment.
- (45) The Data Center generates a computer tape of the OSS Program benefit payments for each month. This tape is transferred to the State Comptroller's Office where the warrants are generated and sent to the Department's Disbursement Control Center in Jacksonville. The Disbursement Control Center is responsible for mailing the OSS benefit payment warrants to the clients. The warrants are mailed to the addresses as indicated in the MORS. Staff of the Department's Data Center and Disbursement Control Center in Jacksonville do not have access to case records and are not responsible for the monitoring of these case records or the benefit payments generated by their processes.

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- (46) Department regulations require that periodic redeterminations of eligibility be made at least annually, except in the event there is a change in the individual's eligibility for OSS benefits in the interim, in which case a complete redetermination would be required. Partial redeterminations are completed as determined necessary.
- (47) No independent verification was performed to ensure that OSS benefit payments were made only to authorized clients.
- (48) Adequate internal accounting control requires that an employee, other than the employee who determines client eligibility and initiates the payment, must perform an independent verification that the payment was made to an eligible individual and in the correct amount. Our review of the OSS Program disclosed that adequate independent verifications were not always performed as described below.
- (49) Eligibility workers, who make initial and continuing eligibility determinations, prepare and submit the standardized MORS input documents (HRS Form 2012) which result in the initiation of payments to the applicable clients, without documentation of supervisory approval. In addition, these employees also make client address changes and terminate clients from the Program through the submission of MORS input documents which are prepared and submitted without supervisory review. We also noted that the MORS does not generate a turnaround document for transactions entered into the system. The review of turnaround documents received directly from the Data Center by employees other than the employees who prepared and/or submitted the related input documents would provide greater assurance of the legitimacy and accuracy of the transactions.
- (50) OSS Program case files were independently monitored by District Economic Services Program staff and public assistance specialist supervisors. These monitorings included a review of information contained in the case files to verify that appropriate documentation was on hand to evidence client eligibility, grant amount, and compliance with Departmental administrative policies and procedures. However, these monitorings generally did not include client verification procedures to determine whether the client existed, was eligible for benefits, or received the benefits which the Department's case records indicate were mailed. Additionally, the Department's procedures for monitoring OSS benefit payments used existing case files as the population from which a sample was selected, not the OSS payroll registers. Consequently, OSS benefit payments for which no case file existed would not have been subjected to monitoring.
- (51) Because of these deficiencies, OSS benefit payments diverted for unauthorized use may not be subject to detection in a timely manner. For example, if a public assistance specialist completed and submitted a MORS input document that placed a fictitious client in the MORS without creating a case record,

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fraudulently reopened a closed case, or fraudulently changed the address in the MORS for a client that should be terminated from the system due to ineligibility for future benefits, current procedures in place would not detect such diversions in a timely manner. As an example, during our tests of client benefit payments as part of our audits of the State of Florida's General Purpose Financial Statements (GPFS) for the fiscal years ended June 30, 1987, and June 30, 1988, we noted two instances in which OSS benefit payments were created and mailed monthly to the addresses of clients who were deceased. These instances are described as follows:

- In District XI, 23 OSS benefit payments were created and mailed monthly to the address of a client who had been deceased for 24 months. The client died in August 1985 but payments were not stopped until September 1987, after we requested the applicable case record for review. These payments totaled \$120 (\$10 for one 2-month period and \$5 for each of the remaining 22 months). Department personnel subsequently determined that only one of the checks had been cashed and requested stop payments on the remaining checks.
- In District X, monthly OSS benefit payments continued to be created and mailed to the address of a client through September 1988 although the client died in February 1987. The amount of OSS benefits paid during this 19-month period totaled \$3,344. Our review of the case record disclosed that a MORS document had been submitted to the Data Center to terminate the client in March 1987; however, the form was rejected due to an incorrect social security number. There was no evidence of follow-up by Department staff to terminate the case until after our staff had requested the case record for review. Payments were stopped at that time. The applicable Adult Congregate Living Facility, at which the client resided prior to his death, has agreed to reimburse the Department for the amount of OSS benefit checks received subsequent to the client's death.

(52) Although the amounts involved were not material to the State's GPFS or to total OSS Program benefits, these instances evidence the lack of adequate independent verification to ensure OSS benefit payments are made only to eligible clients and in the correct amounts.

(53) Similar deficiencies were noted in audit report No. 10983, Operational Performance Audit of the Department's Aid to Families with Dependent Children (AFDC) Program. Specifically, in audit report No. 10983, paragraphs 68 through 70, we noted that AFDC payment registers were not always used in the selection of AFDC cases/payments for review. In addition, we noted that only one of the four AFDC monitoring levels included procedures to determine whether the client existed, was eligible for benefits, and received the payments which the Department's case records indicated were paid.

- (54) We again recommend that the Department enhance its existing monitoring system by establishing and implementing written procedures that provide for an expanded verification, by employees other than the employees who determine eligibility and initiate payments, that benefit payments issued by the Department through its various programs are made only to authorized individuals and in the proper amounts. For the OSS Program, these procedures should provide for the following:

- Documentation of supervisory approval of all forms submitted for input into the MORS.
- Generation of turnaround documents that are routed directly to and reviewed by employees other than the employees who prepared and/or submitted the related input documents.
- An independent monitoring process which should include the sampling of OSS benefit payments from the OSS payroll registers and the verification of clients' existence for selected payments, eligibility for benefits, and whether or not the clients received the benefit payments documented as being paid to those clients.

Procurement Practices

- (55) Our review of the Department's purchasing practices indicated that the Department had generally established management control systems which assured compliance with the laws, rules, and regulations related to the acquisition of goods and services except as noted in the following paragraphs.
- (56) Purchases of approximately \$32,000 in District VI were not made using competitive bidding procedures, contrary to law.
- (57) Section 287.057(11), Florida Statutes, and Department of General Services (DGS) Rule 13A-1.016, Florida Administrative Code, allow for emergency purchases without competitive bidding procedures when it is determined that an immediate danger to the public health, safety, welfare, or other substantial loss to the State requires emergency action. An emergency purchase is defined by DGS Rule 13A-1.001(14), Florida Administrative Code, as a purchase necessitated by a sudden unexpected turn of events (e.g., acts of God, riot, fire, floods, accidents, or any other circumstances beyond the control of the agency in the normal conduct of its business) where the delay incident to competitive bidding would be detrimental to the interests of the State. Section 287.062(1)(a), Florida Statutes, provides that if the head of any State agency maintains that an emergency exists in regard to the purchases of any commodity, then the head of such agency shall file with the Division of Purchasing, DGS, a statement under oath certifying the conditions and circumstances which make the situation an emergency. DGS Rule 13A-1.001(7), Florida Administrative Code, provides that an agency head, within the meaning of Chapter 287, Part I, Florida Statutes, is defined as

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the person in a department statutorily responsible for final agency action, or his/her authorized designee.

- (58) Our review disclosed four purchases in District VI that appear to have been incorrectly classified as emergency purchases by District personnel and therefore made without using competitive bidding procedures. These purchases were for repairs at the Department's cluster homes for developmentally disabled clients in District VI. The repairs included new flooring, plumbing work, and replacement of a sanitizing system. A Certification of Emergency Procurement, the statement described above, was signed by the District Administrator on June 27, 1986. These repairs were completed during the period August 5, 1986, to September 25, 1986, and cost \$32,441. The justification included on the Certification stated that "The expense funds for these purchases arrived in the District on 6/10/86. This did not allow sufficient time for the District to bid out these various projects. To do so would result in the loss of the funds and the inability to provide these needed services."
- (59) Although we do not dispute the necessity of making these repairs, there did not appear to be immediate danger to the clients nor did the circumstances arise out of a sudden unexpected turn of events. The loss of funds due to fiscal year-end reversions does not appear to meet the criteria of an emergency purchase, as funds from subsequent years' appropriations could be used for the same purposes. Formal competitive bidding reduces the appearance of and opportunity for favoritism, documents that the procurement of services was open and fair, and gives the Department an opportunity for a lower overall price by offering projects as a whole rather than on a fragmented basis.
- (60) We recommend that the Department maximize competition and comply with governing laws and administrative rules in expending funds for goods and services that are required to be purchased using competitive bidding procedures.
- (61) Department personnel generally processed vouchers in accordance with Section 215.422, Florida Statutes; however, we noted several instances where vouchers were not processed timely.
- (62) Section 215.422, Florida Statutes, provides that a voucher authorizing payment of an invoice submitted to a State agency shall be filed with the State Comptroller not later than 15 days after receipt of the invoice and receipt, inspection, and approval of the goods or services. This law further provides that if a warrant in payment of an invoice is not mailed by a State agency within 45 days after receipt of the invoice and receipt, inspection, and approval of the goods and services, the agency must pay the vendor, in addition to the amount of the invoice, interest at a rate of 1 percent per month or portion thereof on the unpaid balance from the expiration of such 45-day period until such time as the warrant is mailed to the vendor. These requirements may be waived in the case of a bona fide dispute or

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upon waiver by the Department of Banking and Finance on a showing of exceptional circumstances.

- (63) Our review disclosed 7 of 67 (10 percent) invoices tested that were not filed with the State Comptroller within the required 15 days and 3 of 67 (4 percent) invoices tested in which warrants in payment of the invoices were not mailed within the required 45-day period. In both sets of circumstances, there was no evidence of bona fide disputes or exceptional circumstances. Payments were made from 2 to 21 days after the required time period and, contrary to law, interest, of an immaterial amount, was not paid to these vendors.
- (64) We recommend that the Department continue its efforts to process invoices in a timely manner in compliance with Section 215.422, Florida Statutes.
- (65) Staff of the Department's Inspector General's Office and the State Attorney's Office are currently conducting a joint investigation of the District XI procurement practices.
- (66) Due to allegations of the mismanagement of funds in District XI during the 1986-87 and 1987-88 fiscal years, the Department's Inspector General's Office and the State Attorney's Office are currently conducting a joint investigation of the District XI procurement practices. The allegations related to the use of food stamp funds for unauthorized purposes and the unauthorized circumvention of laws and regulations governing competitive purchasing practices. As of December 20, 1988, this investigation had not been completed. These areas will be addressed, as appropriate, in our Statewide Federal Financial Assistance Audit.

Tangible Personal Property

- (67) Chapter 273, Florida Statutes, and Chapter 10.300, Rules of the Auditor General for State-Owned Tangible Personal Property, require that the Department maintain an adequate record of property of a nonconsumable and nonexpendable nature, the value of which is \$200 or more (\$100 or more through September 30, 1987), and the normal expected life of which is one year or more. These laws and regulations are designed to promote adequate accountability for such assets and specify various internal control and record keeping procedures necessary to achieve the desired accountability, such as requiring that the property items be marked with an identifying number in a permanent manner. It is essential that management establish and follow procedures allowing for good internal control to adequately control and account for tangible personal property. The Department has established policy and procedures meeting the minimum control requirements as set forth in Chapter 273, Florida Statutes, and Chapter 10.300, Rules of the Auditor General for State-Owned Tangible Personal Property.

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(68) Several organizational units kept the property records of the Department during the audit period including, for example, the District Offices and major institutions such as the Florida State Hospital. Deficiencies noted during our selected testing of fixed assets accountability are disclosed in the following paragraphs.

(69) Our examination of the controls over tangible personal property disclosed that established procedures were generally followed. However, some deficiencies were noted relating to the safeguarding and accountability of State-owned tangible personal property.

- Our tests of the property records in District XI disclosed that 5 of 60 items selected for testing from the property records could not be located. These items included typewriters, desks, and chairs which had a cumulative cost of \$2,814. Upon further review, we noted that 1 of the items (a typewriter) had been reported as missing on February 24, 1986; however, the item had not been deleted from the active inventory records. For 2 of the 4 remaining items, District personnel completed property reports showing the items as missing, subsequent to our testing. As of December 13, 1988, District personnel could not locate or provide an explanation of why the remaining 2 items could not be located.
- We also noted that 10 of the 60 items selected for testing in District XI could not be traced to specific property items through the use of property numbers since the items were not marked with permanent identification numbers, contrary to Section 10.310(7), Rules of the Auditor General for State-Owned Tangible Personal Property. These items included a video cassette recorder, table, amplifier, and television color receiver. However, we were able to assure ourselves, to varying degrees, that the items located were the ones of record based on the property locations and descriptions included in the property records. The varying degrees of assurance resulted because some of the tested items had manufacturers' serial numbers or other unique identifying information engraved on them which agreed with information in the property records whereas other items did not have such unique identifying information.
- Our tests of purchases in excess of \$3,000 disclosed 2 operating capital outlay purchases costing \$601,446, which were not recorded in the Department's property records or marked with identification numbers as of the end of our audit fieldwork. One purchase in July 1986 was for 18 copier machines with a total cost of \$586,314 purchased under a 36-month installment sale and purchase contract. None of the 18 copier machines were recorded in the Department's property records or marked with identification numbers. The other purchase, in January 1987, was for 12 computer printers with a total cost of \$15,132 for the Medicaid Program. These

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printers were purchased in Tallahassee but shipped by the vendor to various locations in the State. Our review of the 12 printers disclosed that they had not been recorded in the property records or marked with identification numbers.

(70) Although the above deficiencies were not significant in relation to total operating capital outlay purchases made and tangible personal property owned by the Department, these deficiencies indicate that improvements could be made in accountability over tangible personal property.

(71) We recommend that the Department continue to make efforts to ensure compliance with Chapter 273, Florida Statutes, and Chapter 10.300, Rules of the Auditor General for State-Owned Tangible Personal Property.

Supply Inventories

(72) We performed examinations and reviews of supply inventory and related management controls at 16 locations throughout the Department. The purpose of our examinations and reviews was to determine compliance with governing laws, rules, and regulations and to evaluate the adequacy of established management controls to determine the extent to which the controls can be relied upon to identify significant deficiencies in the inventory control process.

(73) Our study and evaluation disclosed that generally, for the locations selected, management controls over supply inventories were adequate and the Department was in compliance with governing laws, rules, and regulations. However, as noted below, several weaknesses in the system of internal control were noted at some locations reviewed:

- At the Escambia CHU, we noted that perpetual inventory records were not maintained for drugs used in the Sexually Transmitted Disease Program, as well as for drugs used for rheumatic fever and epilepsy patients. In addition, the perpetual inventory records for other drugs were kept in pencil, thereby making alterations, corrections, etc., difficult to detect. An adequately maintained perpetual inventory system would improve accountability over drugs by providing a means of comparing recorded quantities on hand with physical inventory counts.
- Physical controls are necessary to safeguard assets from accidents, disasters, and unauthorized diversions. We noted during our visit at the Escambia CHU that the storeroom in which supplies other than drugs were maintained was at times left unlocked and unattended. Due to the number of employees who had access to the storeroom, it would be difficult, if not impossible, to fix responsibility in the event of a loss.

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- Department procedures (HRSR 45-6, Section 3.b.) and good internal control practices require that personnel other than those assigned responsibility for the custody and issuance of inventory items should make the physical counts of inventory. Physical inventory counts, when compared to the inventory records by an independent employee, provide assurance that inventory items are properly accounted for and not used for unauthorized purposes. We noted that the physical counts of supply inventory conducted at the Orange CHU and Department Headquarters were not performed by personnel other than those assigned responsibility for the inventories.
- At the Escambia CHU, the custodian of the inventory of supplies and drugs, other than drugs used in the Sexually Transmitted Disease Program and drugs provided to clients with rheumatic fever and epilepsy, made adjustments to the perpetual inventory records for differences noted as the result of physical counts. However, these changes were not reviewed by independent personnel and the reasons for the adjustments were not documented. The lack of independent review and documentation of adjustments increases the risk of errors or irregularities not being detected in a timely manner.
- As part of our review and examination of inventories at 16 Department locations, we performed test counts of inventory items and compared our counts to the applicable records. We also compared quantities of selected items as recorded on the records to the actual quantities of those items on hand. Our tests disclosed that 38 of 120 items tested at 4 locations had quantities which could not be reconciled to the appropriate perpetual inventory records. Differences in quantities were noted at the Escambia CHU (6 of 30 items); Duval CHU (12 of 30 items); Palm Beach CHU (6 of 30 items); and Northeast Florida State Hospital (14 of 30 items). Differences as noted above were reported only when there was a greater than 5-percent unreconciled difference between our test count quantities and Department inventory record quantities. Although these differences were not significant as a whole to Departmental operations, the differences are indicative of deficiencies regarding the adequate recording of transactions. For example, management staff attributed the differences at the Northeast Florida State Hospital to inaccurate and undocumented adjustments made in an attempt to reconcile the records to the quantities on hand.

(74) We recommend that the Department implement corrective actions that provide for the following:

- Inventory records for all drugs. The recordings of transactions pertaining to inventory items should be done in ink or other means to provide a permanent record of the transactions.

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- Restricted access to the storeroom. The storeroom should be locked while unattended and access should be restricted to personnel assigned responsibility for the custody and issuance of supply inventory.
- Physical counts of supply inventory by employees independent of the custodian function.
- Proper documentation and review by personnel independent of the custodial function of all adjustments to the inventory records.

Travel

- (75) Travel Revolving Fund reconciling items in District IX totaling in excess of \$6,000 were not followed up on and resolved in a timely manner.
- (76) Our review of the December 1987 bank reconciliation of the District IX Travel Revolving Fund disclosed reconciling items dating back to August 1986. These reconciling items totaling \$6,248 were amounts due from the State Comptroller or from District employees which resulted when travel expenses paid to employees and submitted to the State Comptroller for reimbursement were subsequently rejected because of insufficient documentation or disallowed travel amounts. In these instances, the Department had not resubmitted the reimbursement request with additional documentation to the State Comptroller or had not obtained reimbursement from employees, as applicable.
- (77) Because delays in obtaining reimbursements for disallowed travel expenses paid to employees and obtaining reimbursements for travel expenses submitted to the State Comptroller with insufficient documentation may result in unauthorized use of State moneys by employees, at least temporarily, and prevent these moneys from being used for other Department purposes, we recommend that the Department immediately implement procedures that will reduce the length of time the reconciling items are outstanding.

Hiring Practices

- (78) Adequate documentation evidencing security background checks, which are required by Section 110.1127, Florida Statutes, was not always maintained by Department personnel.
- (79) Section 110.1127(3), Florida Statutes, provides that, within the Department, all positions in programs providing care to children or the developmentally disabled for 15 hours or more per week (hereinafter referred to as caretaker positions) are required to undergo security background checks as a condition of employment and continued employment. These security background checks are to include, but not be limited to, employment history checks, checks of references, local criminal records checks through local law

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enforcement agencies, Statewide criminal records checks through the Florida Department of Law Enforcement (FDLE), Federal criminal records checks through the Federal Bureau of Investigation (FBI), abuse registry clearances, and fingerprinting for all purposes and checks described in this paragraph.

- (80) Pursuant to Section 110.1127(1), Florida Statutes, the Department, with the approval of the Florida Department of Administration, also designated other positions as those of special trust and responsibility (hereinafter referred to as other sensitive positions) for which persons occupying those positions are subject to security background checks as a condition of employment. For those positions, the Department established procedures (HRSR 60-37(5)b.1) requiring employment history checks and either submission of fingerprints to the FBI and FDLE requesting a nationwide record of arrests or a request for a correspondence check with the FDLE. The correspondence checks provide a record of any arrests within the State based upon a person's name, social security number, sex, race, and date of birth. The Secretary, Assistant Secretaries, or District Administrators, as appropriate, are responsible for determining which applicants or employees will receive a national investigation by fingerprinting or an in-State investigation based upon a correspondence check.
- (81) Our review of the Department's records for 29 persons hired in caretaker positions during the audit period disclosed that there was inadequate documentation to evidence the following: (1) employment history checks for 2 employees, (2) personal reference checks for 3 employees, (3) local criminal records checks for 6 employees, and (4) Statewide or Federal criminal records checks for 4 employees.
- (82) Additionally, although the Department maintained a record indicating that fingerprints had been submitted to the FDLE for processing and the results returned to the Department, the processed fingerprint cards which documented the results of the background checks conducted by the FDLE, and the FBI if deemed appropriate, were not retained by the Department for 8 of the employees discussed above. Department procedures (HRSR 60-39) require that fully processed fingerprint cards be destroyed within 60 days after receipt by appropriate Department personnel. Without this external documentation, we could not verify the accuracy of the Department's records regarding these investigations.
- (83) Our review of Department records relating to 49 employees hired by the Department during the audit period for other sensitive positions disclosed documentation deficiencies as similarly noted above for employees hired in caretaker positions. Specifically, we noted that evidence was not available to document employment background checks for 5 employees and Statewide criminal records checks for 7 employees. For 13 of the employees, completed correspondence checks or processed fingerprint cards

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documenting the results of background checks conducted by the FDLE were not retained by the Department.

(84) To document compliance with Section 110.1127, Florida Statutes, we recommend that the Department maintain documentation evidencing all aspects of the employee background checks. Also, to provide adequate evidence of background checks, processed fingerprint cards should be retained by the Department. Due to the confidential nature of the information and to preclude unauthorized access to the cards, these cards should be retained in secure locations with access limited to authorized personnel.

(85) The Secretary of the Department, in his written response to paragraphs 78 through 84, indicated that the Department would hesitate to maintain criminal history information for an indefinite period of time. However, absent documentation in the Department's records that security background checks have been performed and properly considered in the employment of Department personnel, it is not apparent how Department management is assured that the protection afforded Department clients by background checks has been provided.

Fee Assessments

(86) The Facilities Plans and Construction Section of the OLC assessed and collected fees in accordance with applicable laws; however, these fees were not assessed and collected in a timely manner.

(87) Section 400.23(7), Florida Statutes, authorizes the Department to charge a fee, not to exceed 0.5 percent of the estimated construction cost or the actual cost of review, whichever is less, for services rendered in conducting the review of plans and specifications for each new nursing home and related health care facility project. The actual costs are to include the costs incurred by the Department for the purchase of additional architectural and engineering services necessary to meet the requirements of this Section. Section 395.007(2)(a), Florida Statutes, similarly authorizes the Department to charge a fee not to exceed 1 percent of the estimated construction cost or the actual cost of review, whichever is less, for services rendered in conducting the review of plans and specifications for each new hospital and ambulatory surgical center project. The actual costs are to include the costs of architectural and engineering services necessary to meet the requirements of Section 395.007(2)(a), Florida Statutes.

(88) The Department maintains ledgers for each project being reviewed. These ledgers contain the costs incurred in the review of the plans, fees paid, and balance of fees paid less costs incurred. During the audit period, OLC personnel periodically reviewed these ledgers to determine whether the fees paid were sufficient to cover the costs of the reviews incurred to date. As necessary, the appropriate facilities were periodically billed in

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amounts to cover these costs, up to the maximum allowed by governing laws.

- (89) Our review of the records in the OLC Plans and Construction Section showed that fees were generally assessed in accordance with applicable Florida Statutes. However, we noted that facilities were not always billed and fees collected in a timely manner and/or in amounts that were sufficient to cover the actual costs of the reviews incurred to date, up to the maximum amounts allowed. Specifically, in 18 of 30 projects reviewed, fees were not collected for periods ranging from 3 to 22 months after costs had been incurred that exceeded the amount of fees collected to date for those projects. The unbilled or uncollected balances for these projects ranged up to \$19,823. We recommend that Department personnel review each project ledger on no less than a monthly basis to determine the necessity for a request of additional fees. As long as fees collected have not reached the maximum allowed by law, management should not allow costs incurred to exceed the fees collected for each project.

Budgets

- (90) The Department's procedures for controlling contractual activities within the limits of its obligational authority, as determined by the approved operating budget of the Department, need to be enhanced.
- (91) Section 216.311(1), Florida Statutes, provides that no agency of State government shall contract to spend, or enter into any agreement to spend, any moneys in excess of the amount appropriated to such agency unless specifically authorized by law. Our review of the Department's procedures for controlling obligations within the limits of the approved operating budget disclosed attempted obligations of future budgetary authority, to pay for goods and services received prior to July 1, 1987, totalling approximately \$2.2 million. Although the \$2.2 million represented only six hundredths of one percent of the Department's total operating expenditures for the 1986-87 fiscal year and the majority of obligations incurred by the Department were within the authority provided by the approved operating budget, we know of no authority that allows Department personnel to enter into contracts which require the commitment of future appropriations to the Department to pay for the goods and services received in the prior fiscal year. We recommend that the Department review its procedures for controlling the incurrence of obligations within the approved operating budget.
- (92) A building, costing \$82,162, was constructed at the Florida State Hospital without a specific legislative appropriation, contrary to Section 216.292(3)(b), Florida Statutes.
- (93) Section 216.292(3)(b), Florida Statutes, provides, in part, that a fixed capital outlay project may not be initiated

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without a specific legislative appropriation. Fixed capital outlay as defined in Section 216.011(1)(o), Florida Statutes, includes buildings.

- (94) Our review of general fixed assets at the Florida State Hospital (FSH) in District II disclosed that during the 1985-87 fiscal years a building, used as a paint shop, was constructed on the grounds of the FSH without a specific legislative appropriation, contrary to law. The building, costing \$82,162, was constructed using funds appropriated for operations (i.e., salaries, expenses, and operating capital outlay) of the FSH. Absent a specific legislative appropriation to construct the building, we requested from FSH personnel, and they were unable to provide, the specific authority authorizing construction of a building using operating funds.

- (95) We recommend that the Department expend funds in accordance with the authorizations established by the Legislature as set forth in its approved operating budgets.

Internal Audit Function

- (96) The position designated as the chief internal auditor of the Department was not directly responsible to the Secretary, contrary to Section 20.055(2), Florida Statutes.

- (97) Section 20.055(2), Florida Statutes, requires each State agency to employ a chief internal auditor who is appointed by and directly responsible to the agency head. We reviewed the organizational status of the Department's chief internal auditor and found that the position designated as the chief internal auditor was directly responsible to the Inspector General and not to the Secretary, contrary to Florida Statutes.

- (98) We recommend that the organizational placement and reporting responsibilities of the Department's chief internal auditor comply with Section 20.055(2), Florida Statutes.

- (99) In his written response to paragraphs 96 through 98, the Secretary of the Department indicated that the internal audit administrator (chief internal auditor) now has direct-line responsibility to the Deputy Secretary, who has direct-line responsibility to the Secretary, and dotted-line responsibility to the Inspector General. However, this is still contrary to the provisions of Section 20.055(2), Florida Statutes, as the chief internal auditor is still not directly responsible to the Secretary.

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STATEMENT FROM AUDITED OFFICIAL

(100)

In accordance with the provisions of Section 11.45(6)(d), Florida Statutes, a list of audit findings was submitted to the Florida Department of Health and Rehabilitative Services. The Secretary's written response to the audit findings included in this report is shown as exhibit D.

EXHIBITS

The following exhibits are attached to and form an integral part of this report:

- EXHIBIT - A Schedule of Revenues by Source.
- EXHIBIT - B Organizational Chart.
- EXHIBIT - C District Boundaries.
- EXHIBIT - D Statement from Audited Official.

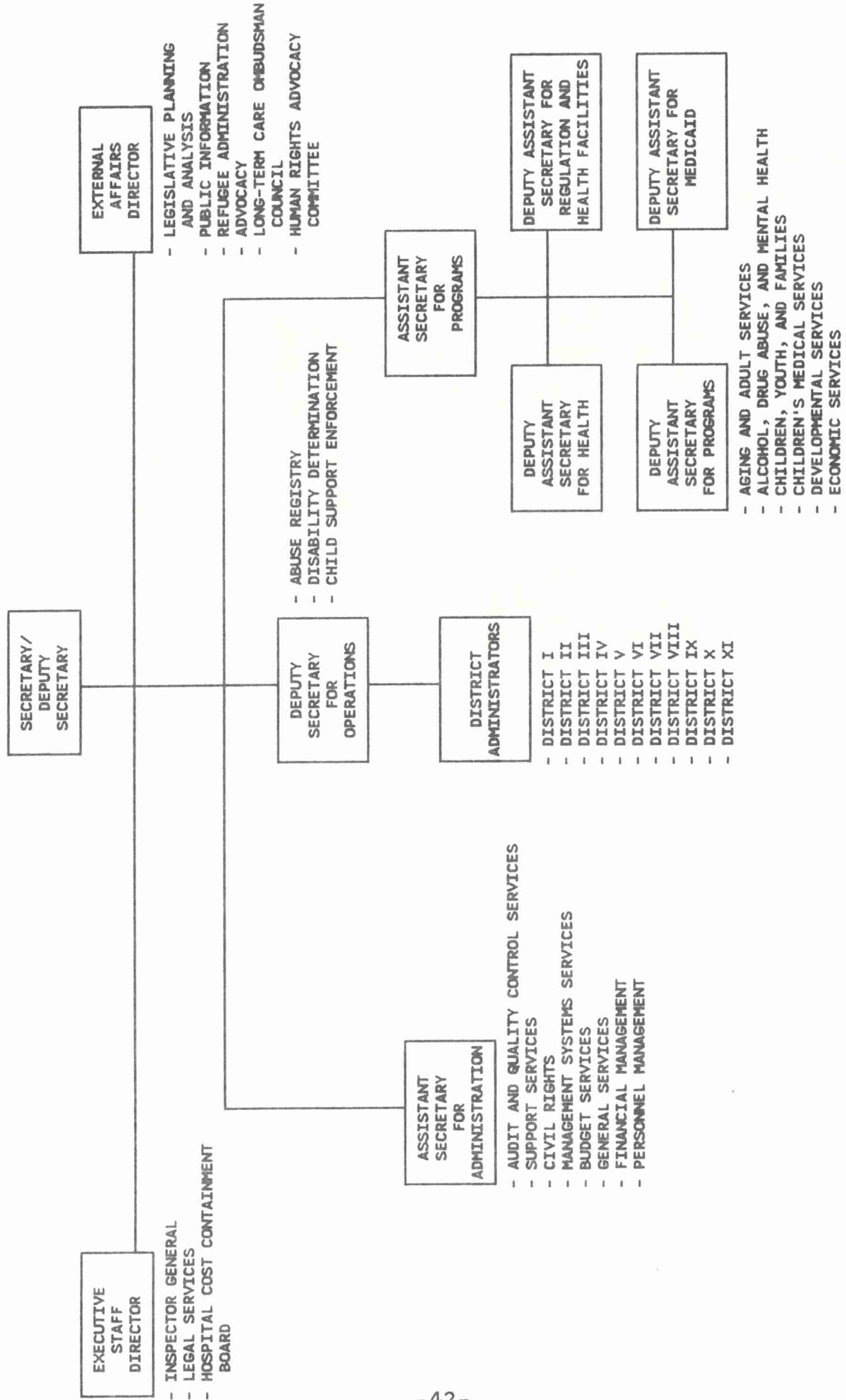
FLORIDA DEPARTMENT OF HEALTH
AND REHABILITATIVE SERVICES
SCHEDULE OF REVENUES BY SOURCE
For the 1986-87 Fiscal Year

EXHIBIT - A

<u>Source</u>	<u>Amount</u>
General Revenue Appropriations	\$1,637,573,993
Grants	1,325,822,795
Fees	167,787,132
Transfers	175,169,024
Taxes	119,055,415
Other Revenues	89,615,087
County Health Unit Fees	28,695,066
Office of Licensure and Certification Fees	<u>5,668,057</u>
Total Revenues	<u><u>\$3,549,386,569</u></u>

FLORIDA DEPARTMENT OF HEALTH AND REHABILITATIVE SERVICES
ORGANIZATIONAL CHART
As of June 30, 1988

EXHIBIT - B



FLORIDA DEPARTMENT OF HEALTH
AND REHABILITATIVE SERVICES
DISTRICT BOUNDARIES

EXHIBIT - C



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FLORIDA DEPARTMENT OF HEALTH
AND REHABILITATIVE SERVICES
STATEMENT FROM AUDITED OFFICIAL

EXHIBIT - D



STATE OF FLORIDA
DEPARTMENT OF HEALTH AND REHABILITATIVE SERVICES

February 24, 1989

Mr. Charles Lester, C.P.A.
Auditor General
P.O. Box 1735
Tallahassee, Florida 32302

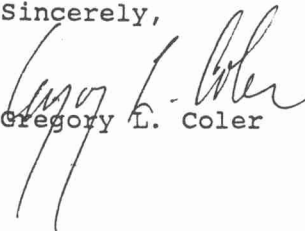
Dear Mr. Lester:

I am forwarding to you the department's second revised response to the preliminary and tentative findings for your audit of the Department of Health and Rehabilitative Services for the period July 1, 1986 through December 31, 1987.

We appreciate your staff's efforts in completing this audit.

If I may be of further assistance, please let me know.

Sincerely,



Gregory L. Coler

Enclosure

1317 WINEWOOD BLVD. • TALLAHASSEE, FL 32399-0700

BOB MARTINEZ, GOVERNOR

GREGORY L. COLER, SECRETARY

FLORIDA DEPARTMENT OF HEALTH
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RESPONSES TO PRELIMINARY AND TENTATIVE FINDINGS OF THE AUDITOR
GENERAL'S AUDIT OF ADMINISTRATIVE COMPLIANCE AND MANAGEMENT
CONTROLS FOR THE PERIOD JULY 1, 1986 THROUGH DECEMBER 31, 1987

(27-31)

Corrective action has been taken. The Plans and Construction section has implemented procedures to ensure that checks are logged and restrictively endorsed immediately upon receipt by the individual responsible for opening the mail.

We concur with the recommendation. The Plans and Construction section has established a receipt/mail-in log to immediately record the receipt of checks when the mail is opened. Similar actions will be taken by February 28 in the Licensure section to facilitate control over collections.

We concur with the recommendation. The Plans and Construction section has implemented a receipt/mail-in log which includes documentation of transfer of responsibility for checks between employees within the office. Similar action will be initiated in the Licensure section by February 28 to document the transfer of responsibilities for collections between employees.

We concur with the recommendation. The Office of Licensure and Certification is currently evaluating staff resources in the Licensure and Laboratory Facilities sections in an effort to segregate the functions of fee receipt and license issuance.

Corrective action has been taken. The Plans and Construction section has implemented new check receipting and processing procedures involving two additional employees within the section to enhance the segregation of these functions.

We concur with the recommendation. The Office of Licensure and Certification will implement procedures to verify that all collections were deposited to the clearing account and recorded on original receipts.

We concur with the recommendation. The Office of Licensure and Certification will develop procedures to reconcile total licenses issued and/or applications received to total fees collected.

We concur with the recommendation. The Office of Licensure and Certification will develop procedures to periodically account for pre-numbered receipt forms and/or licenses issued and on-hand.

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We concur with the recommendation. However, it is not always reasonable to deposit cash receipts into the Licenses and Fees Clearing Account on the day the fees are received. Considering the volume, frequency, diversity and timing of fees received in a day, collections can not generally be processed to the individual responsible for depositing the funds in time for deposit that day. Actions have been initiated in the Licensure section to eliminate funds being held an excessive amount of time.

Subsequent to the auditor general's audit, the Office of Licensure and Certification was reorganized. This involved changes and a reduction of functions and responsibilities assigned to the Licensure section. The changes should facilitate correction of the adverse finding. The Office of Licensure and Certification will closely monitor the receipt and deposit of fees in the future.

The department has established accounting policies and procedures for timely deposit of funds directly into the state treasury or into a clearing account. Volume 11, Chapter 1 of the HRS Accounting Procedures Manual (APM), Clearing Funds and Cash Receipts requires the following:

1. All cash receipts be deposited into a clearing fund on a daily basis, or;
2. Cash receipts deposited directly into the state treasury comply with Section 116.01, Florida Statutes (F.S.), which requires every state and county officer authorized to collect funds due the State of Florida to deposit those funds no later than seven working days from the close of the week in which the officer received the funds.

(27-31)

We concur with the recommendation. As noted above, it is not always reasonable, considering the volume and diversity of fees collected by the office to process them for deposit and initiate actions to clear them to the state treasurer on the day they are received. The Office of Licensure and Certification will initiate and monitor actions to deposit receipts and notify the Office of Financial Support Services to timely transfer funds to the state treasurer.

The department is currently cooperating with the state treasurer's office to begin implementation of a statewide banking system in which there will be one account under the administration and control of that office. District offices will make deposits directly into this account at the local designated bank. The transition to this system is expected to be completed by June 30, 1989, and should eliminate the problem for those accounts which do not have local bank account (client trust funds and welfare

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(27-31) trust funds) activity. For those receipting locations with local account activity, financial management will stress the APM requirements.

(32-36) HRS Polk County Public Health Unit Response

Corrective action has been taken. A suitable endorsement stamp has been furnished to the director's secretary who initially distributes the incoming mail. Any checks in envelopes she opens will be immediately endorsed.

HRS Dade County Public Health Unit Response

Corrective action has been taken. Endorsement stamps have been issued to all individuals receiving checks within the health department. As the checks are received they are now endorsed immediately prior to being sent to the business office for processing and deposit.

HRS Pinellas County Public Health Unit Response

Corrective action has been taken. Endorsement stamps have been purchased and placed in all areas where checks can be received. All employees involved in collections have been instructed to immediately endorse all checks.

HRS Hillsborough County Public Health Unit

Corrective action has been taken. Rubber stamps were purchased in April 1987 for all activities receiving checks. All checks are now being restrictively endorsed immediately upon receipt.

HRS Brevard County Public Health Unit Response.

We concur with the recommendation. The HRS Brevard CPHU policy regarding maintenance of cash requires the cashier to place all collections in a locking metal box which is to be locked when unattended. The box is to be kept beyond reach of clients and locked in a file cabinet whenever the cashier leaves the collection area.

The cashier cited in our Rockledge facility was reformed of the need to comply with policy.

The policy to safeguard cash collections has been referred to the in-house quality assurance (Q.A.) coordinator for inclusion in the Q.A. standards review.

We concur with the recommendation. Personnel duties at the HRS Escambia CPHU front desk are being arranged in an attempt to have only one employee with access to the cash drawer. If this cannot be accomplished, cash drawers will be provided to each employee responsible for

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collections. Corrective action will be complete by April 1989.

HRS Pinellas County Public Health Unit Response

We concur with the recommendation. Procedures are being developed to properly document transfers of collections between employees. In the future, transfers between employees will be documented.

HRS Escambia County Public Health Unit Response

Corrective action has been taken. Receipts for transfer of collections among employees are now being prepared in duplicate with each employee signing and retaining a copy.

HRS Brevard County Public Health Unit Response

The documentation of transfer of collections among employees is a policy in the HRS Brevard CPHU. The policy to document transfer of collections among employees has been referred to the in-house quality assurance coordinator for inclusion in the Q.A. standards for review.

(32-36)

HRS Duval County Public Health Unit Response

The circumstances leading to the problem cited with transfer of collections among employees was the result of a temporary procedure implemented during renovation of the central cashier area. All mail logs from every area within the HRS Duval CPHU were taken directly to the fiscal office and left without any transfer of responsibility.

Corrective action has been taken in each area of the HRS Duval CPHU. Transfer of collections is now properly documented and will be monitored to ensure compliance.

HRS Broward County Public Health Unit Response

Corrective action has been taken. Effective September 26, 1988, HRS Broward CPHU has implemented a variation of the mail-in log HRS Form 933. As the collections are processed for deposit every transfer of collections among employees is now documented.

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HRS DeSoto County Public Health Unit Response

Corrective action has been taken. Transfer of collections among employees is now documented.

Corrective action has been taken. A procedure has been implemented at the HRS Polk CPHU requiring the listing of all checks received in the mail on a mail-in log.

Corrective action has been taken. It is now the policy of the HRS Leon CPHU that employees may not collect fees or donations in the field except in certain mass immunization settings when the nurses are accompanied by an individual who collects the money and issues receipts. Receipts and all documentation are then turned in to the HRS Leon CPHU cashier at the end of the day.

(32-36) HRS CPHU clients with incomes below the federal poverty level and those eligible for Medicaid do not pay fees for services. Clients not meeting one of these criteria pay fees based on a sliding fee scale which progresses in 20 percent increments for clients with incomes between 100 and 200 percent of poverty. Clients with incomes above 200 percent of poverty pay the full fee. These fees are not waived. HRS CPHUs continue trying to collect fees assessed as long as the client seeks their services. All HRS CPHUs have a billing system. Some are computerized, some are manual and some are better than others.

The State Health Office, in consultation with the Office of Financial Management, will promulgate policies on billing practices in HRS CPHUs and will also include in its quality assurance plan a standard for establishing and maintaining an adequate system of internal control over the cash receipts function.

Corrective action has been taken. Notification was sent on April 28, 1988 to all HRS Escambia CPHU collection points and the executive management committee stating that original receipts must be turned in with the fiscal department copy for all receipts that are voided. Any changes on receipts must be explained and initialed.

Corrective action has been taken. HRS Escambia CPHU receipts must be issued in both the name of the person or company paying for the services and the person or company receiving the services.

We concur with the recommendation. During January 1988 the HRS DeSoto CPHU began using a sliding fee scale based on federal poverty income guidelines. Due to a misunderstanding of statutory requirements, these fees have not been approved by resolution of the DeSoto Board

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of County Commissioners. The State Health Office is writing to HRS DeSoto CPHU outlining the statutory requirements and the need for these fees to be adopted by resolution of the Board of County Commissioners.

HRS Pinellas County Public Health Unit Response

We concur with the recommendation. In some instances incorrect fees were being collected by program staff without the knowledge or approval of the HRS Pinellas CPHU's administrative or fiscal offices. In other instances, approval to assess fees different from the official fee schedule was given by the prior HRS Pinellas CPHU director without amending the fee schedule.

All division directors and program staff have been provided information concerning fees to be assessed, income screening procedures and sliding fee scales. In addition, plans are being developed to centralize the income screening, fee assessment and collection processes within the HRS Pinellas CPHU. These steps should eliminate the problem.

HRS Leon County Public Health Unit Response

(32-36) Corrective action has been taken. A Leon County ordinance authorizes HRS Leon CPHU collection of dental fees. This ordinance was amended effective October 21, 1988 to make provision for reduction of fees based on clients' income.

The State Health Office placed a great deal of emphasis during 1987 and 1988 on increasing Medicaid reimbursements. HRS CPHU staff have been trained in eligibility and billing processes. Statewide, the HRS CPHUs exceeded the FY 1987-88 performance indicator to increase Medicaid revenues. Specifically, the HRS Duval CPHU increased Medicaid revenues 114.42%, an increase from \$253,389 to \$543,317.

Medicaid is developing training packages for HRS CPHU billing clerks and for their supervisors. Also, guidelines specifically for HRS CPHUs that will incorporate policies and billing procedures for the four major programs (physician services, ARNP services, family planning and EPSDT) will be available in April. Workshops are planned to introduce these materials to HRS CPHU personnel. These materials should facilitate training of new staff and be a standardized ready source of information for billing systems.

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HRS Pinellas County Public Health Unit Response

We concur with the recommendation. All records concerning Medicaid billings for eligible clients had been filed in remittance voucher order. This system made it extremely difficult, if not impossible, to trace a Medicaid client from the record to a billing and collection from Medicaid.

The HRS Pinellas CPHU is in the process of converting the filing system. All current information will be filed alphabetically within date of service. This filing system should facilitate future audits of Medicaid (third party) billings.

HRS Marion County Public Health Unit Response

We concur that gaps in Medicaid billing did occur during the stipulated audit period. In April and May of 1987, it came to the attention of the accounting/management staff that Medicaid billing was falling behind in terms of timeliness and that gaps in billing did occasionally occur. Initial corrective action revolved around attempts to work with the original Medicaid billing clerk. When this did not resolve the situation, the clerk was transferred to other, non-billing duties. The new clerk is more highly trained, is a higher pay grade and was selected for organized and meticulous work habits.

(32-36)

Additional corrective action included devising a "super bill" which simplified billing and centralized the Medicaid billing process. This latter change is significant because of the omissions noted in the audit report. All were at the primary care center which was formerly decentralized from the rest of the process. Centralization has added uniformity to the process and made supervision easier.

These corrective action steps plus increased awareness of the problem by supervisory staff are believed to have resolved the problem.

HRS Duval County Public Health Unit Response

We concur with the recommendation. Evidence was provided to auditor general staff showing that the cited Medicare billings were made. Collections have now been received on all billings cited.

Procedures have been implemented for billing Medicare claims daily (when a billable service is rendered) in each clinic using the on-site computer. Medicaid claims are to be billed using electronic billing every six to

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eight weeks.

We concur with the recommendation. Efforts have been made in the HRS DeSoto CPHU to correct these findings. The key to resolving the segregation of duties is the availability of manpower. This has not always been obtainable in a small HRS CPHU.

The HRS DeSoto CPHU is presently bringing on-line a computerized general ledger, accounts receivable and cash receipts system. It is perceived that this electronic system will help remedy the current problem. The system is estimate to be functioning by June 30, 1989.

Compliance will be verified during the annual internal control audit conducted by the district fiscal office.

We concur with the recommendation. Due to limited staffing capabilities for separation of duties, the HRS Hillsborough CPHU has arranged duties to separate functions as much as possible. Procedures and forms have been developed at the HRS Hillsborough CPHU for financial eligibility for all primary care and communicable disease services which are being placed on a "self declaration" basis effective February 4, 1989. The patient will complete an unsupported statement indicating their gross income and family size. The financial counselor will complete an eligibility computation work sheet (PEPW) to arrive at the patient's net income which will be compared with the sliding fee scale to determine the fee percentage the patient is to pay for all services.

(32-36)

The self declaration statement and the PEPW will become a permanent part of the patient's medical record. The utilization of the PEPW income calculation will permit clerical personnel to immediately determine the portion of any fee for which the patient will be responsible. This will preclude the patient from being referred to the financial counselor at each visit.

A patient financial record for recording all financial transactions will be placed in the medical record. The financial counselor will update the client financial record based on cashier's receipts. If a patient cannot pay all or a portion of the appropriately determined fee, the cashier will refer the patient to the financial counselor who will complete a patient agreement form (PAF) which establishes a payment schedule.

Although clinic fees are received in the mail only about once or twice a month, deferred fees which are mailed to the CPHU are now being received by the cashier for inclusion in the daily deposit. The receipt prepared by the cashier is then used by the financial counselor to update the patient's account.

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Bank reconciliations are performed in the business office by the accountant III who supervises the overall operation of the office. While she does not normally participate in the daily recording of collections/deposits, at the time of the audit, one of the two fiscal assistant positions was vacant and the other position in extended medical leave status. During this time frame the accountant III had to pick up duties that were normally assigned to those positions.

The district fiscal office will follow up on the separation of duties during their next internal control monitoring.

The finding cited involved the HTLV III Counseling and Testing Site where total anonymity is involved. The program was a one person operation and was located some distance away from the main health center and a few blocks from the nearest health center. The nature of the program precludes the client from going to another health center to pay the fee. Although the HTLV III site was relocated to an area across the street from the main health center, the anonymity of those requesting services could not be maintained if they were to be sent across the street to the cashier. The program is based strictly upon a number assigned to each client. No names, addresses or telephone numbers are recorded for the clients. The irregularity cited became evident when other personnel were assigned to the program. While written statements were obtained from some clients who had paid fees that were incorrectly recorded, the statements were signed with their client numbers. The matter was referred to the state attorney who stated that prosecution action could not be taken as we could not identify and present those clients whose receipts had been altered. The program now has been enlarged which permits division of duties and precludes recurrence of any irregularity.

(32-36)

Vacant positions and/or unclear performance standards contributed to lack of separation of duties. Corrective action has been taken in each area to separate duties of handling receipts and issuing permits. In the fiscal office the duties have been specifically identified and separated as soon as vacancies were filled.

In the vital statistics office, each of the three clerks will open each other's mail (clerk 1 will open clerk two's mail, clerk two will open clerk three's mail, etc.), record receipts on the mail log, hand carry the mail log to the central cashier and wait for the cashier to sign and date the mail log, accepting responsibility for receipts. Each vital statistics clerk will then receive the original mail log and pre-numbered receipts for each item listed for the birth or death

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certificates they have the responsibility to issue.

Corrective action has been taken. Accounts receivable records and the responsibility for reconciling the HRS Escambia CPHU bank account have been transferred to other employees. Due to limited personnel and work loads this is the only present alternative.

HRS Hillsborough County Public Health Unit Response

Current procedures at the HRS Hillsborough CPHU preclude allowing one individual to be able to easily trace receipts to a mail-in receipts log. Daily mail-in receipts are put together from various collection points using separate logs. Daily cashier receipts are commingled with mail-in receipts for deposit. The district fiscal office will make recommendations to allow a reconciliation of deposits to mail-in collections at their next internal control monitoring visit.

HRS DeSoto County Public Health Unit Response

(32-36) We concur with the recommendation. Completion of corrective action is estimated to be by June 30, 1989. With the implementation of a computerized general ledger, accounts receivable and cash receipts system, new procedures will finalize corrective action.

Compliance will be verified during the annual internal control audit conducted by the district fiscal office.

HRS Broward County Public Health Unit Response

The bank deposit is verified daily by an employee in the accounts payable/fiscal section who is independent of the depositing function. Effective November 1, 1988 a new procedure was implemented requiring this same employee to reconcile, on a weekly basis, the validated bank deposit slips to the actual mail-in logs to verify all monies received were deposited correctly. Neither the cashier nor the depositor has access to these deposit slips which are returned to an employee not involved in the depositing process.

HRS Leon County Public Health Unit Response

Corrective action has been taken. Effective January 19, 1989, the business manager, who is independent of the fee collection/deposit process will reconcile listings of collections received in the mail to the validated deposit slips. Effective May 27, 1988, validated deposit slips are returned to the accountant or fiscal assistant who did not make out the deposit slip for verification.

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HRS Brevard County Public Health Unit Response

Corrective action has been taken. Mail received by the HRS Brevard CPHU is opened and all collections logged by an employee independent of the fee collection/deposit process. Collections are transferred to the depositor (verified with exchange of signatures on respective copies of the mail-in log). The depositor creates a deposit slip detailing each collection and the total of collections. The collections and the deposit slip are taken to the bank teller who validates the detailed deposit slip and returns it to the depositor. The validated deposit slip (received back from the bank teller) is returned by the depositor to the logging employee for reconciliation. The validated deposit slip is attached to the mail-in log.

The bank statement is reconciled by a third person independent of the collections and depositing functions. The deposit entries are verified to the deposit slips attached to the mail-in logs.

HRS Escambia County Public Health Unit Response

Corrective action has been taken. All listings of collections received at the HRS Escambia CPHU are being logged and processed daily by an employee who is independent of the fee collection/deposit process. The reconciliations are done by an employee who is not involved with collections or deposit of fees. The deposit slips are verified by an employee other than the cashier or depositor.

(32-36)

The department concurs with the recommendation. Financial management will issue procedures requiring that all licenses and permits be pre-numbered and controlled, and that a log be maintained for all licenses and permits issued. This log should contain the license or permit number, the party to whom the license or permit is issued, the cash receipt number and the dollar amount of the cash received. Where sufficient manpower is available there should be a segregation of duties in that one person receipts the cash, while a second employee issues the license. In all cases, a periodic reconciliation of the log to the cash receipts should be performed by an independent employee. In conjunction with the implementation of these procedures, 11 APM 21, Internal Accounting Control and Review Procedures will be modified and annual internal control reviews will test for pre-numbering and controlling licenses and permits.

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HRS Hillsborough County Public Health Unit Response

We concur with the recommendation. To better control the issuance of license/permits, the check/invoice log will be annotated with the number of the license permit issued and forwarded to the business office for filing with the audit slip for the day the funds were received. The listing will provide a cross reference of invoices and license/permits with the license/permits which are issued in sequential order. Through his method any missing licenses/permits will be highlighted as the cross referenced check log will permit quick comparison of the beginning and ending numbers of permits/licenses issued each day. Any missing licenses/permits would be identified.

HRS DeSoto County Public Health Unit Response

We concur with the recommendation. Completion of corrective action is estimated to be by June 30, 1989. With the implementation of a computerized general ledger, accounts receivable and cash receipts system, new procedures will finalize corrective action.

Compliance will be verified during the annual internal control audit conducted by the district fiscal office.

(32-36)

HRS Pinellas County Public Health Unit Response

This situation has been discussed with directors and staff of the programs affected by this finding. To the extent staffing limitations allow, procedures will be developed to provide for the periodic review of collections and receipts for permits and/or licenses by individuals not directly involved with the collection/receipting process.

HRS Hillsborough County Public Health Unit Response

Corrective action has been taken. When receipt books are issued, a receipt for the book showing the sequence of numbers in the book and the location of the book is signed and returned to the fiscal office. The receipts are filed in a looseleaf binder in sequential order. When a receipt book is depleted the book is returned to the fiscal office. All receipts issued and used are accounted for this way.

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HRS Broward County Public Health Unit Response

Corrective action has been taken. A receipts issuance log is maintained by someone independent of the cash receipts function. Pre-numbered receipts are accounted for on hand, and issued by this employee who maintains the log and all receipts in a locked secure area.

HRS Palm Beach County Public Health Unit Response

Corrective action has been taken. Daily cash transaction sheets are audited in the business office and a control maintained of last receipt number used and date. All receipt numbers used are listed and copies are attached to the daily transaction sheet. Even void receipts are attached.

All pre-numbered receipts are maintained and secured in the warehouse. All pre-numbered receipts are issued by authorized requisition from the clinic site. When a block of receipts is issued, the numbers are recorded on the requisition and sent to the business office to maintain control of numbers disbursed and used by the clinic to which they are issued.

(32-36)

HRS Leon County Public Health Unit Response

Corrective action has been taken. Effective January 10, 1989 the business manager's secretary, who does not have access to or custody of collections will verify use or presence of all pre-numbered receipt forms. Within the next three months, it is anticipated that computerization of the cashier procedures will obsolete this requirement as the computer will automatically number and account for all receipts.

HRS Duval County Public Health Unit Response

Corrective action has been taken. All cashiers and cashier supervisors are to identify all used and unused pre-numbered documents each day on the Daily Report of Fees Collected.

Orientations, monitoring and in-service training are held to inform all employees of the importance of pre-numbered document accountability.

HRS Brevard County Public Health Unit Response

Pre-numbered receipts of the HRS Brevard CPHU are logged out from central control by a specific management employee. Unissued receipt books are in a locked box to which only the above employee has access. A missing unissued receipt book would be immediately apparent upon

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opening the box to issue a new book. Subsequently, sequences of receipts prepared by the cashier are verified each day by employees independent of the receipt process. Since the implementation of the "one write" peg board receipting system in 1982, a single small sequence of three pre-numbered receipts is unaccounted for. An investigation indicated that they were accidentally destroyed.

Receipts are used at nine different locations for as many different purposes. For example, the cashier collecting fees in our Rockledge facility might be issued receipt sequence 5000 through 6999 for family planning services and sequence 7000 through 8999 for general clinic services. With intervening sequences issued to other locations, the next sequence released to the Rockledge cashier for family planning services might be 13000 through 15999. Thus a traceable break for 6999 to 13000 in the pre-numbered Rockledge family planning sequence appears for that particular location. The central control employee verifies the start and completion of each issued sequence as assigned to each appropriate purpose/location.

The procedure to control pre-numbered receipts has been referred to the in-house quality control coordinator for inclusion into the Q.A. standards review.

(32-36)

HRS Dade County Public Health Unit Response

We concur with this recommendation. New daily reports have been initiated and daily register numbers are recorded to assure no lapse in numbers, similarly we record handwritten receipt numbers and audit to assure there are no missing receipts.

HRS Hillsborough County Public Health Unit Response

All licenses and permits issued to environmental health and environmental engineering are normally issued in sequential order with the person receiving the items signing a receipt. All licenses and permits are pre-numbered and are normally issued sequentially. Control of issuance of the licenses/permits will be maintained through the use of a check log which identifies the date payment was received, the amount, the check number, the invoice number and the license/permit number. The log accompanies the funds turned into the business office each day. Through comparison of the beginning and ending numbers on the check log, any missing licenses/permits will be identified by the business office.

In certain instances, licenses/permits issued for special events and fairs are not in the same sequence as those

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used for annual periods. For the special events, outdated licenses/permits are issued and any forms not used are returned to the business office. In the past the returned forms have been subsequently issued for other special purposes. In order to better control these licenses/permits a receipt log is now being used with a separate page for each type of form and those returned to the business office will be voided.

HRS DeSoto County Public Health Unit Response

We concur with the recommendation. Completion of corrective action at the HRS DeSoto CPHU is estimated to be by June 30, 1989. With the implementation of a computerized general ledger, accounts receivable and cash receipts system, new procedures will finalize corrective action.

Compliance will be verified during the annual internal control audit conducted by the district fiscal office.

HRS Dade County Public Health Unit Response

(32-36) Corrective action has been taken. Reconciliations of fee collection deposits to the pre-numbered receipts in the environmental health section as well as through out the HRS Dade County Health Unit are being done.

We concur with the audit findings. Volume 11, Chapter 1, of the HRS APM, Clearing Funds and Cash Receipts, establishes time frames for the transmittal of such collections to the state treasury. Appropriate procedures and guidelines will be added to 11 APM 21, Internal Accounting Control and Review Procedures, to ensure that the yearly internal control reviews will address these time frames and test for compliance.

The HRS Dade CPHU has instituted corrective procedures to comply with Section 116.01(1), F.S. During the period covered by the audit, a new armored car service was inadvertently returning deposits directly to the HRS Dade CPHU business office. Procedures have been corrected and wire transfers from the clearing account are now made to the state treasury within the prescribed forty-eight hours.

(38-39) We concur with the audit findings. Volume 11, Chapter 1, of the HRS APM, Clearing Fund and Cash Receipts, establishes procedures for the immediate endorsement of all checks upon receipt. In addition, 11 APM 21, Internal Accounting Control and Review Procedures, requires that the reviewer address compliance with this procedure.

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Financial management staff conducts internal control reviews each year of all HRS district fiscal offices and of selected HRS CPHUs and institutions. The 1986/87 review of the District 11 fiscal office revealed that checks were not restrictively endorsed upon receipt. Corrective action was taken by that office.

Upon notification of the audit finding, Landmark Learning Center purchased endorsement stamps. All cashiers were instructed to begin immediately to endorse all checks. As a result of this audit, the Office of Radiation Control will begin the restrictive endorsement of checks for all fees when they are received.

Corrective action has been taken. The cafe at the Landmark Learning Center (referred to as the cafeteria in the report) now keeps the vault locked at all times. The combination was changed and now only three employees have access to the cafe vault. Daily cafe receipts are kept in a locked cabinet in the vault in the accounting office. Two employees have access to the locked cabinet.

(38-39) We partially concur with the recommendation. Five individuals in the District 11 fiscal office have access to the vault, the fiscal officer, the accounting services supervisor, two accountant supervisors and an accountant I. The check books for all local accounts are kept in this vault along with the keys to the signature facsimile machine. Every unused check for each account is accounted for in the check register and in the disbursement ledger(s). Normally, only the accounting services supervisor and the two accountant supervisors open the vault to distribute the check books and warrants. The fiscal officer and the accountant I are alternates used in emergency cases only. Because of vacations, absences and turnover we do not expect to reduce the number of people with access to the vault.

Facsimile machine access will be assigned to a separate employee.

Corrective action has been taken. Mail processing procedures in Emergency Medical Services have been updated to require a log of all money received each day in the mail. The log includes check number, amount, the name of the person signing the check and a total of each day's collections.

Corrective action has been taken. To fix responsibility for the custody and control of District 11 collections, receipts logs are being used. All employees in the fiscal office who receive collections for processing are required to sign and date the daily log. Adherence to this policy will be monitored.

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We concur with the recommendation. The segregation of duties has been a chronic audit criticism point. Florida Addiction Treatment Center (Florida Alcoholism and Treatment Center) has four positions in the business office. Legislative budget requests for another position to better separate duties have been submitted in the past. These requests have not been granted due to higher priorities for HRS funds. The separation of duties will be considered again to determine if there is a way to better segregate functions with the four existing employees.

Landmark Learning Center Response

Corrective action has taken place. Employees independent of the collection and deposit function now reconcile listings of collections received in the mail to records evidencing deposits to verify that those collections have been deposited.

Office of Radiation Control Response

We concur with the recommendation. The Office of Radiation Control will immediately begin reconciling the mail-in logs of payments received with the validated deposit slips by a person independent of other fee receiving processes.

(38-39)

District 11 Fiscal Office Response

Corrective action has taken place. Employees independent of the collection and deposit function now reconcile listings of collections received in the mail to records evidencing deposits to verify that those collections have been deposited.

District 2 Fiscal Office Response

Corrective action has taken place. Effective January 19, 1989, an employee independent of the collection and deposit function will reconcile the validated deposit slip with the mail-in log.

We concur with the recommendation. In District 11, reconciliations of the revolving fund to the authorized amount have been completed through December 1988. Unresolved items are currently being worked on. Service charges have been submitted for reimbursement to the state comptroller. Interest earned has been deposited to the state treasury.

Turnover of revolving fund custodians continues to be a problem. However, reconciliations between custodians are now being done to the extent they can be with the unresolved amounts outstanding. Prior to November 1987

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revolving fund transactions were poorly documented which has hindered the reconciliation process. Reconciliations for transactions after November 1987 have been facilitated by improvements made in record keeping of revolving fund transactions and recently by a reduction in volume by no longer paying travel through the revolving fund.

(38-39) In the case of the cited unaccounted for funds, supporting documents have not been found, including the canceled checks. District staff have done as much as time and available documents have allowed in reconciling the unaccounted for funds. We concur with the recommendation to refer this matter to the state attorney as we would like to be able to eliminate the unaccounted for balances from our reconciliations or be reimbursed if the source of the expenditures can be determined.

(40-41) We concur with the recommendation. In response to prior audit criticisms, during fiscal year 1986/87 financial management began conducting annual internal control reviews of all fiscal offices. Volume 11, Chapter 5, HRS APM, Controlling Cash Receipts Code Strips, and Volume 11, Chapter 1, HRS APM, Clearing Funds and Cash Receipts, establish the procedures and policies for the collection of cash by the department. Volume 11, Chapter 21, HRS APM, Internal Accounting Control and Review Procedures, devotes a special section to receipts and cash collections. Where deficiencies are noted, and sufficient staff is available to permit implementation of the required policies, corrective action is mandatory.

(47-54) We concur with the recommendation that supervisors need to review and initial all Optional State Supplementation (OSS) Mandatory-Optional Supplementation Record System (MORS) documents for application and reapplication approvals. We will be instructing districts to implement this procedure effective April 1, 1989.

We concur that in some instances a higher level of review has the potential for preventing fraud. However, it is not feasible to implement supervisory review of all MORS actions due to the existing workloads and staffing pattern of one supervisor to seven workers.

We concur wholeheartedly with the proposal to produce turnaround documents. However, to produce turnaround documents from the MORS would require major modifications to the system.

Currently, the management systems staff responsible for programing and monitoring the MORS system also have responsibility for the Assistance Payment System (APS). Due to the number and extent of modifications to the APS needed to implement the provisions of the Family Support

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Act of 1988 (Welfare Reform), we do not anticipate management systems staff being able to make the required modifications to the MORS system prior to October 1990.

We concur with the recommendations. Monitoring procedures will be modified to include checking the case record for the HRS-AA Form 1003 (Agreement for Alternate Care Certification for OSS). These forms require signature by persons other than the person determining eligibility and thus serves as attestation that the client exists. In addition, the aging and adult services counselor is required to conduct an annual face-to-face interview with the client. The counselor is required to coordinate such interviews with the economic services (ES) worker. This interview serves as an additional check of the client's existence. The ES worker is also required to check the State Data Exchange. This shows that a person is known to the Social Security Administration.

(47-54) A procedure is being implemented whereby each public assistance specialist (PAS) must check the monthly MORS payroll register to ascertain that the client's check is in the amount budgeted in the case record. The target implementation date is April 1, 1989. As discussed in the previous finding response, the new requirement of supervisory review of the MORS document will also ensure that the amount budgeted is the same amount contained on the MORS document.

At the annual face-to-face interview discussed above, the aging and adult services coordinator will ask the client if the checks are being received. As the client's income is usually not enough to cover the cost of care, the provider contacts the department if the client's OSS check is changed or not received.

We concur that the sample for OSS monitoring should be taken from the current MORS payroll register. Aging and adult services will also use the current payroll to select cases for their quality assurance review. The quality assurance review requires review of aging and adult services case records. This will serve as an independent check that clients receiving OSS exist since aging and adult services case records are separate from OSS records. The target implementation date is April 1, 1989.

We concur with the recommendations. The actions discussed in the previous two finding responses will result in the issuance of written procedures to be followed by districts in monitoring OSS files. The procedures will include the following:

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- (47-54) 1. Supervisory review of all MORS input documents for application and reapplication approvals.
2. Checking OSS case records for HRS-AA Form 1003 (Agreement For Alternate Care Placement) and HRS-AA Form 1006 (Alternate Care Certification For OSS).
3. A required monthly check by the PAS of the MORS payroll register to ascertain if the correct amount of OSS is being paid.
4. At the annual face-to-face interview, aging and adult services counselors will ask the client/designated representative if the OSS checks are being received.
5. Aging and adult services will use the monthly MORS payroll register to select cases for their quality assurance reviews. The quality assurance review requires a review of the aging and adult services case records.
6. The OSS monitoring sample will be selected from the current MORS payroll register.
- (56-60) The HRS Manual 75-1, Purchasing Policy and Procedures, outlines procedures for requesting a certification of emergency procurement and requires the use of competitive bidding. The Office of General Services will periodically re-emphasize these procedures with all departmental purchasing staff through correspondence and purchasing workshops.
- (61-64) The department concurs with the audit findings. Procedures have been adopted to reduce the number of untimely payments to vendors. Volume 2, Chapter 1. HRS APM, Vouchering, specifies the time limitations set for the processing of invoices with the state comptroller. Volume 10, Chapter 10 HRS APM, 30/45 Day Mailing Requirements, specifies all the necessary procedures and policies required by Section 215.422, F.S.
- The department certifies annually to the state comptroller that every officer or employee who is responsible for the approval or processing of vendor's invoices or distribution of warrants to vendors has received a copy of Section 215.422, F.S. and related rules. In addition, each employee is required to sign a statement, to be included in his/her personnel file, that he/she has been provided a copy of the statute and rules promulgated by the comptroller, and that the employee understands the approval and processing time limitations and the interest provisions.
- The department also distributes an invoice sample run to each district fiscal office monthly for determination

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(61-64) of the actual days elapsed from transaction date (the later date of receipt of invoice and the receipt, inspection and approval of the goods or services) to the date the warrant was mailed. This information is then accumulated and published as district performance indicators and is used in determining compliance with Section 215.422, F.S. Financial management will review errors noted to ensure that the required interest is paid to the vendors.

(69-71) We concur with the finding. The two missing items have been properly documented using HRS Form 251 (Incident Report) and HRS Form 1163/A (A Statement of Loss).

Corrective action has been taken. Property decals were sent to the organizational unit's property custodian to ensure that the 10 items are permanently identified with a blue HRS numbered adhesive type tag.

We concur with the recommendation. The eighteen copier machines were not recorded in the department's records due to a breakdown in the current procedure for adding installment purchase property to the records. The process of updating the property records is initiated when an HRS 1195 document is received by the property section from Financial Support Services. Upon receipt of the HRS 1195, the property section assigns identification numbers and enters the items into the Property Management Control System (PMCS). An HRS 1195 for the copiers was not received by the property section, therefore, they were unaware of the purchase.

The HRS 1195 pertaining to the copier machines has been completed and the PMCS has been updated.

The current procedure has been changed to have the purchasing section provide the property section with a copy of all purchase orders pertaining to installment purchase property. The property section will establish a pending file and will initiate follow-up actions with Financial Support Services on the estimated due date of the property to obtain an HRS 1195. Follow up actions will continue on a weekly basis until the HRS 1195 is received and the property is added to the PMCS.

When Medicaid's twelve printers were purchased from the working capital trust fund (WCTF) during January 1987, assets associated with the data center were not recorded in the PMCS. Data center equipment was recorded in the WCTF property system maintained by the Office of Management Systems primarily for control of data communications network stations. That system provides location, description, depreciation and purchase information.

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The Office of Management Systems is in the process of inventorying the equipment in the data communications network and comparing the results to the WCTF property system. Upon completion of that process, the data center equipment will be entered into the PMCS by management systems staff.

(69-71)

The HRS Manual 80-1, Property Management and Control, outlines procedures and guidelines applicable to the proper management of state-owned tangible personal property by the department's property custodians and managers. The Office of General Services will periodically reemphasize these procedures with all departmental property staff through correspondence and workshops.

(73-74)

Corrective action is in process at HRS Escambia CPHU and includes the following:

1. The drug room is being secured and a storekeeper position is established. This person is responsible for the day to day operations of the drug store.
2. To assure checks and balances in the drug inventory process, the business office staff assistant of the HRS Escambia CPHU is handling the ordering and verifying of inventory on a monthly basis. The process requires at least two people in the auditing process for prescription drugs.
3. Procedures now require that inventory records be kept in ink.
4. The HRS Escambia CPHU has budgeted for an in-house pharmacy. This should assist the HRS Escambia CPHU in planning and appropriate handling of drug distribution needs in the future.

We concur with the recommendation. Due to inadequate space at the HRS Escambia CPHU, employees were temporarily located in the storeroom. Relocation of personnel should be complete by March 1989, enabling the storekeeper to keep the storeroom locked when not in attendance.

We concur with the recommendation. Instructions have been issued effective July 1, 1988, requiring physical counts of inventories completed on a rotating basis by employees not responsible for the custody and issue of these items.

Corrective action has been taken. Any adjustments to HRS Escambia CPHU inventory records are reviewed by designated personnel and the reasons for adjustment are documented.

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Perpetual inventory procedures for drugs are outlined in HRS Manual 150-1, Pharmaceutical Services in County Health Units. The Office of General Services has informed all HRS CPHUs that they are invited to use the computerized supply inventory system (SIMS). This system provides a means of comparing recorded quantities with physical inventory counts.

Northeast Florida State Hospital

The department has conducted two training workshops at Northeast Florida State Hospital on inventory management. Procedures have been implemented to spot check ten inventory line items each day. The inventory balance is then checked against the computer records. Discrepancies are then recorded on HRS Form 1373 (Inventory Adjustment Voucher). In addition, the supply inventory management system provides a weekly report that state the beginning and ending balance, issues, receipts and adjustments and ending balance for audit purposes.

(73-74)

HRS Palm Beach County Public Health Unit Response

The facilities services manager at the HRS Palm Beach CPHU has initiated more frequent inventory counts, allowing only a 3 percent unreconciled difference prior to initiating corrective action. The installation of a computerized inventory system is hoped for in the next fiscal year.

The facilities services manager is the only individual to authorize adjustments to inventory records. This individual supervises the stores and purchasing officers, but is independent of custodial responsibilities.

HRS Escambia County Public Health Unit Response

We concur with the recommendation. Plans are being made to utilize SIMS.

HRS Duval County Public Health Unit Response

We concur with the recommendation. Plans are being made to utilize SIMS.

(75-77)

We concur with this recommendation. Staff shortages, firings due to mishandling and lack of training are a few reasons for the untimely settlement of reconciling items in District 9. A staff person has been assigned the task of gathering all the necessary documentation for revouchering when all the information is complete. After a month or more on this project some of the information is not readily available. Therefore staff have been advised to revoucher what they can. We have been reimbursed by

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employees for about half of the reconciling items involving amounts due. If repayment is not forthcoming, receivables will be set up and legal avenues of collection pursued. All reconciling items are anticipated to be settled in February 1989. The HRS headquarters Office of Financial Management will assist on unresolvable issues.

The department issued a directive concerning the length of time reconciling items may be outstanding. District 9 has not had, beyond the cited incidents, items outstanding for undue amounts of time. New record keeping and reconciliation procedures were effective January 1988 and November 1988 which will enable more efficient tracking of reconciling items. The travel revolving fund reconciliation is a cumbersome process and District 9 is seeking long range solutions in the form of computer software to enable reconciling in a timely, accurate and efficient manner.

(75-77) We concur with the audit finding. Volume 10, Chapter 32, HRS APM, Revolving Fund Procedures, specifies the procedures to be used in paying travel expenses out of the revolving fund and requesting reimbursement from the comptroller's office. Every fiscal office has the responsibility to determine propriety of payment of travel expense prior to the issuance of any revolving fund check, as stated in Section 3A-40.71(5)(a), Florida Administrative Code, and in compliance with Section 112.061, F.S. The chapter will be updated to emphasize the requirement that all outstanding items be resolved within 30 days of the reconciliation. Financial management will incorporate procedures to address the timely resolution of revolving fund reconciling items in Volume 11, HRS APM, Chapter 21, Internal Accounting Control and Review Procedures. Effective immediately, internal control reviewers will test for compliance by examining revolving fund records during the review process.

Volume 10, HRS APM, Chapter 32, Revolving Fund Procedures, identifies procedures for those travel items disallowed by the comptroller. The paid traveler must be requested to reimburse the revolving fund within 5 working days. After this time period, current procedures require that for those delinquent receivables, the employee is not to be issued any more revolving funds until payment has been made. Financial management will develop procedures to recoup the payment from the employee's wages. If, for any reason, the account remains delinquent, fiscal staff will be advised to follow the rules and regulations issued by the Office of the Comptroller for delinquent accounts.

During 1986, the Office of the Comptroller entered into a contract with Citicorp Diners Club Inc. to provide

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(75-77)

its government card system for state travellers. Fiscal offices that have implemented this system have reduced the volume of travel checks written out of the revolving fund resulting in potential for fewer outstanding items. Financial management will continue to work to encourage all districts to adopt this system.

(78-84)

We concur with the recommendation. Due to the volume of applicants/employees required to be screened the finding correctly states that in several instances there was insufficient documentation to indicate that employment history, personal references and local criminal record checks were completed for certain individuals. Research reveals that a number of these employees terminated or transferred prior to the completion of the background screening process. In other cases, the necessary documentation was not maintained in the individual's personnel file, or the screening process was not actually completed as required. To correct these discrepancies, the Office of Personnel Management will, by February 29, 1989, issue a written policy to senior personnel managers and district background screening coordinators requiring that employment history, personal reference and local criminal history records checks be initiated for each applicant who is selected for a caretaker or other sensitive position prior to the actual appointment of the individual. This policy will also require these individuals to submit fingerprints within five working days after starting to work.

Current department procedure requires the districts to maintain fully processed fingerprint cards in a separate file for 60 days after they are returned from the Florida Department of Law Enforcement (FDLE) and the Federal Bureau of Investigation (FBI). At the end of that 60 day period, they are to be destroyed unless the criminal history record is germane to a pending personnel action. This has been the policy because of the sensitivity of criminal history information, particularly in the view of the FBI. Information as to the existence of a criminal record is maintained in the Personnel Management Data System, and the results of previous criminal record checks processed by the FDLE can be retrieved from that agency at any time. The department would be very hesitant to maintain criminal history information obtained from the FBI data bank for an indefinite period of time. Should this criminal history record be compromised the FBI could discontinue providing the department with such information.

We concur with the recommendation. As indicated earlier in our response, by February 28, 1989, a department procedure will be established for initiating employment history, personal reference and local criminal record

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(78-84) checks prior to appointing an individual to a caretaker or other sensitive position and for the submission of fingerprints within five working days after being hired. Documentation attesting to these aspects of employee background screening will become a required part of the individual's official personnel file.

(86-89) We concur with the recommendation. The Office of Licensure and Certification, Plans and Construction section will review individual project revenue and expenditure records monthly to determine the appropriateness of collecting additional fees.

(90-91) We concur with the recommendation. As noted by the auditor general and supported by the records of the state comptroller, the majority of the obligations or expenditures incurred by the department were within the authority provided by the approved operating budget. Except for four instances, which total \$26,171.50, the over obligations were the result of errors made by the department in estimating and recording accounts payable at year end.

The department will develop procedures and provide training which stresses the importance of properly classifying payables and encumbrances at year end. In addition, the department will reemphasize the provisions of Section 216.311(1), F.S. to its employees.

(92-95) We concur with the recommendation. Internal procedures have been implemented by the Florida State Hospital administrator to preclude similar situations in the future. Included in the procedures is the requirement for the assistant hospital administrator for administrative services to monitor all ongoing job orders for authority to utilize labor and materials.

(96-98) Corrective action has been taken. A copy of the revised organizational chart was sent to the auditor general's staff on November 23, 1988 showing the internal audit administrator with a direct line responsibility to the deputy secretary, who has direct line responsibility to the secretary, and dotted line responsibility to the inspector general.

